Deutsche Bank
Research

One-stop Outlook

2026 Mid-Year Check-In

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Introduction | 2026 Mid-Year Check-in

We have structured our 2026 Mid-Year Check-in as follows:

- **Updating 2026's macroeconomic framework:** We have included updated summaries of the respective 2026 outlooks from DB's US Economics and US HY Credit Strategy teams. These are meant to refresh from our 2026 outlook (released in December 2025).

- **High-conviction single-name credit ideas and brief sector overviews:** Each of the HY sector analysts have provided a high-level sector outlook, followed by their highest-conviction and *published*, single-name ideas. These have been put into three one-year potential total return baskets: 5-9.99%, 10-14.99% and >15%.

- **Topical VDR names**: We have included a section to highlight what the HY analyst team has considered to be the most topical datasite-based (i.e. private) corporate issuers amongst our clients. As a reminder, these are not formally covered securities due to financial data confidentiality obligations with the respective issuers.

- **General housekeeping:** All pricing is as of 6/16/26, unless noted otherwise, and all term loans have been priced with the swapped curve.

The US HY Research team has extensive knowledge across both public and private (datasite) names, across both HY bonds and broadly-syndicated loan. As always, the team is ready and available to assist clients navigate what has already been an eventful 2026.

Andrew Casella
Head of US HY Research

Single-Name Top Picks - Summary

Analyst	DB Rec	BBG Ticker	Ranking/ Seniority	Coupon	Amt O/S	Maturity	Price	YTW/YTM	DM / OAS	Mdy's/ S&P
Aaron Watts	HOLD	*GTN	1L	S+300	$739	12/1/2028	100.250	6.92%	292	Ba3 / B+
Aaron Watts	HOLD	*GTN	1L	10.500%	$1,125	7/15/2029	105.625	5.09%	139	Ba3 / B+
Aaron Watts	NR	*GTN	1L	7.250%	$775	8/15/2033	97.500	7.71%	337	Ba3 / B+
Aaron Watts	BUY	*GTN	2L	9.625%	$900	7/15/2032	95.250	10.69%	643	B3 / CCC
Aaron Watts	BUY	*GTN	Sr Unsec'd	4.750%	$790	10/15/2030	71.750	13.61%	944	Caa1 / CCC
Aaron Watts	BUY	*GTN	Sr Unsec'd	5.375%	$1,220	11/15/2031	69.625	13.46%	923	Caa1 / CCC
Aaron Watts	BUY	*IHRT	1L	S +577.5	$2,119	5/1/2029	95.750	11.47%	753	Caa1/CCC+
Aaron Watts	BUY	*IHRT	1L	4.750%	$277	1/15/2028	96.250	7.42%	343	Caa1/CCC+
Aaron Watts	BUY	*IHRT	1L	9.125%	$718	5/1/2029	97.750	10.09%	596	Caa1/CCC+
Aaron Watts	BUY	*IHRT	1L	7.750%	$661	8/15/2030	93.500	9.72%	555	Caa1/CCC+
Aaron Watts	BUY	*IHRT	1L	7.000%	$178	1/15/2031	89.375	10.04%	584	Caa1/CCC+
Aaron Watts	BUY	*IHRT	2L	10.875%	$675	5/1/2030	86.500	15.70%	1,153	Caa3/CCC-
Andrew Casella	BUY	VTOL	1L	6.750%	$500	2/1/2033	101.125	6.47%	199	Ba3/BB
Andrew Casella	BUY	PRIMBP	1L	S+450	$1,020	3/17/2031	99.875	8.34%	453	B3/B-
Andrew Casella	BUY	PRIMBP	1L	8.000%	$800	3/15/2031	101.250	7.39%	305	B3/B-
Andrew Casella	BUY	PRIMBP	2L	8.750%	$538	12/31/2030	98.125	9.25%	492	Caa2/CCC
Andrew Casella	BUY	ITPCN	1L	S+475	$1,448	6/28/2028	95.625	11.21%	718	B3/B-
Andrew Casella	BUY	ITPCN	Sr Unsec'd	10.000%	$400	12/15/2028	88.250	15.89%	1,179	Caa3/CCC
Andrew Casella	BUY	WHR	2L	7.500%	$1,000	7/1/2031	101.625	7.02%	288	Ba1/BB+
Andrew Casella	BUY	WHR	2L	7.875%	$1,000	7/1/2034	101.125	7.60%	342	Ba1/BB+
Andrew Casella	SELL	WHR	Sr Unsec'd	4.750%	$700	2/26/2029	94.375	7.08%	299	B2/B+
Andrew Casella	SELL	WHR	Sr Unsec'd	6.125%	$600	6/15/2030	93.625	8.00%	386	B2/B+
Andrew Casella	SELL	WHR	Sr Unsec'd	2.400%	$300	5/15/2031	75.125	8.75%	458	B2/B+
Andrew Casella	SELL	WHR	Sr Unsec'd	4.700%	$300	5/14/2032	79.625	9.24%	500	B2/B+
Andrew Casella	SELL	WHR	Sr Unsec'd	5.500%	$300	3/1/2033	80.250	9.56%	527	B2/B+
Andrew Casella	SELL	WHR	Sr Unsec'd	6.500%	$600	6/15/2033	88.500	8.73%	443	B2/B+
Andrew Casella	SELL	WHR	Sr Unsec'd	5.750%	$300	3/1/2034	79.250	9.62%	528	B2/B+
Andrew Casella	SELL	WHR	Sr Unsec'd	5.150%	$250	3/1/2043	63.875	9.50%	471	B2/B+
Andrew Casella	SELL	WHR	Sr Unsec'd	4.500%	$500	6/1/2046	60.250	8.74%	378	B2/B+
Andrew Casella	SELL	WHR	Sr Unsec'd	4.600%	$500	5/15/2050	59.750	8.59%	364	B2/B+
Andrew Casella	BUY	WHRCORP SR 5Y		Spread:	441					

Analyst	DB Rec	BBG Ticker	Ranking/ Seniority	Coupon	Amt O/S	Maturity	Price	YTW/YTM	DM / OAS	Mdy's/ S&P
Miles Highsmith	BUY	CYH	1L	6.000%	$644	1/15/2029	99.375	6.29%	199	Caa1 / B-
Miles Highsmith	BUY	CYH	1L	5.250%	$1,535	5/15/2030	94.250	6.94%	280	Caa1 / B-
Miles Highsmith	BUY	CYH	1L	4.750%	$689	2/15/2031	91.750	6.83%	267	Caa1 / B-
Miles Highsmith	BUY	CYH	1L	10.875%	$1,549	1/15/2032	107.750	6.86%	278	Caa1 / B-
Miles Highsmith	BUY	CYH	1L	10.750%	$700	6/15/2033	107.250	9.16%	487	Caa1 / B-
Miles Highsmith	BUY	CYH	1L	9.750%	$1,790	1/15/2034	104.625	8.42%	399	Caa1 / B-
Miles Highsmith	HOLD	CYH	2L	6.875%	$1,244	4/15/2029	98.750	7.37%	315	Caa3 / CCC-
Miles Highsmith	HOLD	CYH	2L	6.125%	$1,227	4/1/2030	90.250	9.22%	510	Caa3 / CCC-
Miles Highsmith	HOLD	CYH	Sr. Unsec'd	6.875%	$42	4/1/2028	97.000	8.71%	468	Ca / CCC-
Ryan Dowling	BUY	PLAY	1L	S + 325	$691	6/29/2029	85.625	12.66%	901	B3/B-
Ryan Dowling	BUY	PLAY	1L	S + 325	$690	10/31/2031	79.375	12.33%	868	B3/B-
Ryan Dowling	BUY	CROX	1L	S + 225	$500	2/20/2029	100.625	5.66%	199	Ba1/BBB-
Ryan Dowling	BUY	CROX	Sr. Unsec'd	4.250%	$350	3/15/2029	97.500	5.24%	113	Ba3/BB
Ryan Dowling	BUY	CROX	Sr. Unsec'd	4.125%	$350	8/15/2031	94.000	5.46%	127	Ba3/BB
Sean Wondrack	BUY	HRI	1L	S+175	$748	6/2/2032	100.125	3.12%	172	Baa3 / BBB-
Sean Wondrack	BUY	HRI	Sr. Unsec'd	6.625%	$800	6/15/2029	102.500	5.28%	109	Ba3 / BB-
Sean Wondrack	BUY	HRI	Sr. Unsec'd	7.000%	$1,650	6/15/2030	103.875	5.59%	125	Ba3 / BB-
Sean Wondrack	BUY	HRI	Sr. Unsec'd	5.750%	$600	3/15/2031	100.125	5.72%	139	Ba3 / BB-
Sean Wondrack	BUY	HRI	Sr. Unsec'd	7.250%	$1,100	6/15/2033	104.625	5.94%	141	Ba3 / BB-
Sean Wondrack	BUY	HRI	Sr. Unsec'd	6.000%	$600	3/15/2034	99.375	6.10%	149	Ba3 / BB-
Sean Wondrack	BUY	EQMSRM	2L	9.000%	$1,040	5/15/2028	103.375	5.19%	136	B3 / B
Sean Wondrack	BUY	EQMSRM	2L	8.625%	$600	5/15/2032	104.875	6.76%	235	B3 / B
Sean Wondrack	BUY	EQMSRM	2L	8.000%	$500	3/15/2033	103.625	6.74%	227	B3 / B
Sean Wondrack	BUY	RIVHOL	1L HoldCo	10.000%	$1,250	1/15/2031	99.500	10.12%	584	N/A / N/A

Sources: Bloomberg Finance LP and Deutsche Bank
** Indicates pricing from EOD 6/17/26*

Single-Name Top Picks – Potential Total Return Categorization by Ticker

Potential Total Return Categorization by Ticker		
Carry/low-beta **5% - 9.99%**	***Moderate risk/mid-beta*** **10% - 14.99%**	***Higher risk/high-beta*** **>15%**
CROX	EQMSRM	WHR 5Y CDS
CYH	GTN	
IHRT	HRI	
PRIMBP	ITPCN	
VTOL	PLAY	
	RIVHOL	
	WHR Bonds	

Topical Datasite Names – Aggregate Table

Analyst	DB Rec	BBG Ticker	Ranking/ Seniority	Coupon	Amt O/S	Maturity	Price	YTW/YTM	STW	Mdy's/ S&P
Aaron Watts	NR	*CMGMCO	1L	S+350	$1.82bn	6/18/2029	90.000	11.23%	737	B3/B
Aaron Watts	NR	*CMGMCO	2L	8.875%	$574mm	6/18/2029	74.500	20.77%	1668	Caa3/CCC
Miles Highsmith	NR	RGCARE	1L	9.875%	$800	8/15/2030	105.625	4.89%	121	B2 / B
Miles Highsmith	NR	RGCARE	1L	7.000%	$1,500	5/1/2034	97.125	7.49%	300	B2 / B
Miles Highsmith	NR	RGCARE	Sr. Unsec'd	5.375%	$500	1/15/2029	96.000	7.11%	302	Caa1 / CCC+
Miles Highsmith	NR	RGCARE	Sr. Unsec'd	10.000%	$800	6/1/2032	101.750	9.31%	489	Caa1 / CCC+
Miles Highsmith	NR	RCM	Secured	6.875%	$1,300	11/15/2031	98.375	7.24%	287	B3/B-
Miles Highsmith	NR	USACUT	1L	9.750%	$1,000	5/15/2029	96.875	11.00%	691	B3 / B-
Ryan Dowling	NR	SHEARE	1L	S+275	$1,199	2/12/2031	98.250	6.83%	320	B2/B
Ryan Dowling	NR	SHEARE	1L	7.875%	$500	3/1/2031	100.750	7.56%	320	B2/B
Ryan Dowling	NR	SHEARE	Sr. Unsec'd	9.625%	$450	9/15/2032	97.500	10.17%	577	Caa2/CCC+
Sean Wondrack	NR	GLOBAU	Sr. Unsec'd	8.375%	$525	1/15/2029	99.375	8.63%	442	B3 / B+
Sean Wondrack	NR	GLOBAU	Sr. Unsec'd	8.750%	$525	1/15/2032	96.375	9.60%	528	B3 / B+

Sources: Bloomberg Finance LP and Deutsche Bank
** Indicates pricing from EOD 6/17/26*

01.
US Economics

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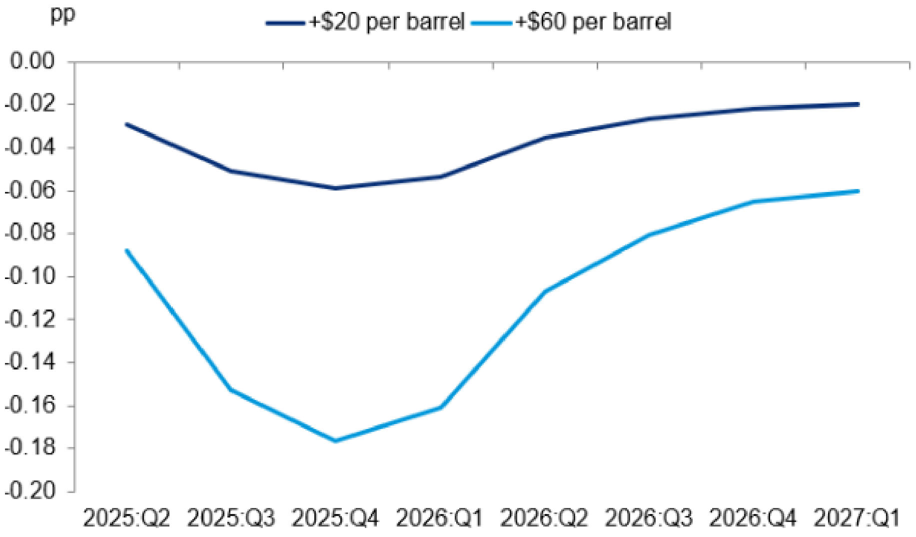
Growth: Oil drag versus fiscal and FCI boost

Our baseline is that as long as oil prices have peaked, the economy is likely to weather another substantial shock relatively well. We currently project real GDP growth of 2.2% (Q4/Q4) this year, down only slightly from our estimate of 2.4% before the US/Iran war.

This downgrade reflects the drag from higher oil prices (roughly -0.2pp) as well as weaker consumer spending to start the year, counterbalanced by continued tailwinds for growth that include: supportive financial conditions and fiscal policy, robust productivity, and a continued strong pace of AI investments.

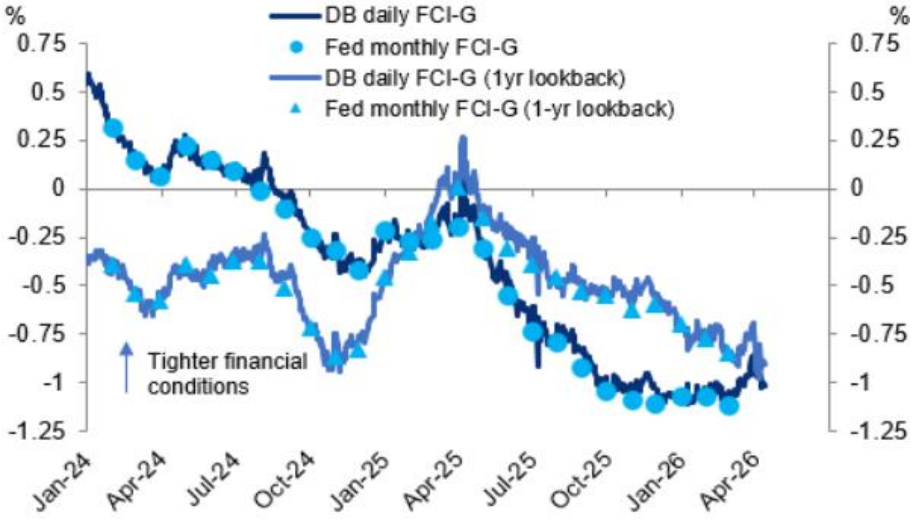
Our growth forecast assumes oil prices broadly follow the DB commodity team's expectation that Brent will moderate towards $75-80/ barrel by year end.

Fed staff model of US economy shows a modest drag on growth from oil price shocks



Source: Laforte (2018), Deutsche Bank Research

Financial conditions still a meaningful buffer against oil shock



Source: FRB, ICE/BofA, Dow Jones, Optimal Blue LLC, Redfin, Zillow, Bloomberg Finance LP, Haver Analytics, Deutsche Bank Research

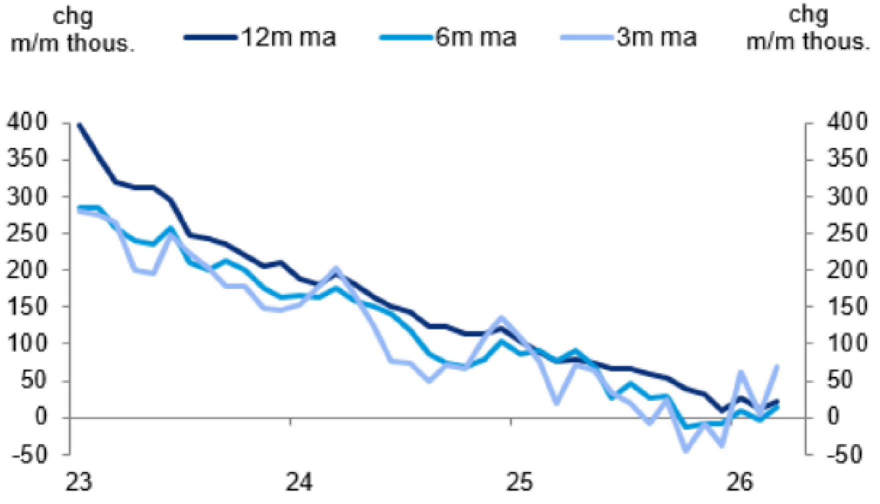
Labor market: Growing confidence in stabilization

Most measures of labor market slack have been stable over the past 12-18 months. Together with the recent decline in the unemployment rate to 4.3% confirms that the monthly breakeven payroll number has fallen to ~0-50k jobs/month.

Our baseline is that the unemployment rate will remain near current levels through year-end. Despite greater confidence in stabilization, the labor market remains in an uncomfortable equilibrium of low hiring and low firing along with a relatively narrow base of sectors producing growth.

Downside risks are therefore present, including from AI beyond the near term, even though we do not believe the latter has had a material adverse effect on the labor market thus far.

Payrolls have shown signs of stabilizing and firming



Source: BLS, Haver Analytics, Deutsche Bank Research

Fragile equilibrium of low hiring and firing persists

Source: BLS, Macrobond, Deutsche Bank Research

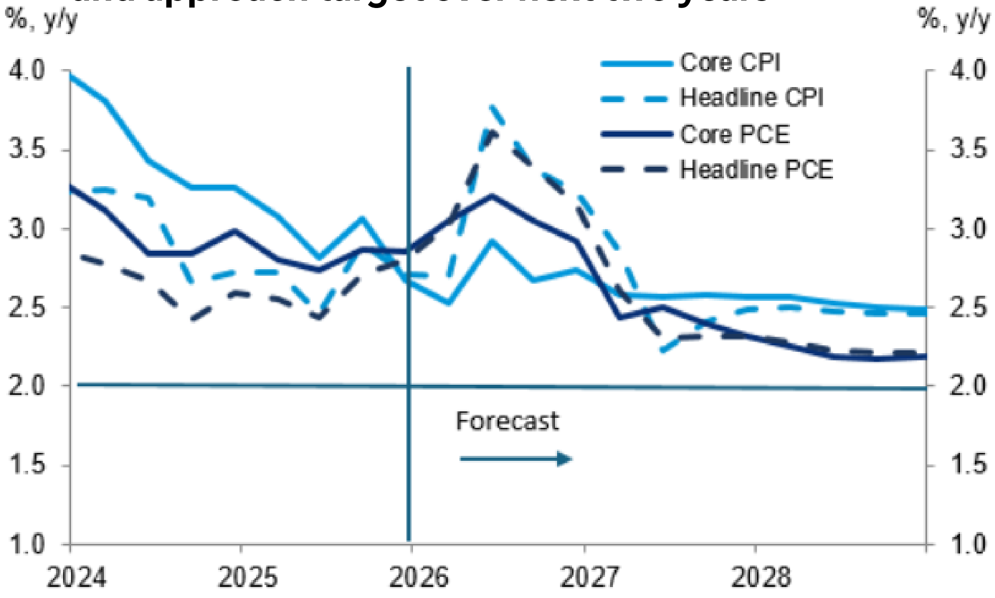
Inflation: Another year well above target

The disinflation path is murkier. Shelter disinflation is likely to continue modestly further, and core goods may reverse tariff effects later this year, but "super core" inflation has proven sticky.

We see core CPI and PCE remaining elevated in H2, ending the year at 2.7% and 3.0% (Q4/Q4), respectively. A more sustained oil price shock would impart upside risks, while further shelter disinflation or a quicker reversal in tariff effects represent downsides.

Further out, we continue to project core inflation will remain modestly (~0.25pp) above the Fed's target over the forecast horizon.

Inflation likely to remain well above target this year and approach target over next two years



Source: BEA, BLS, Macrobond, Deutsche Bank Research

Risks to our outlook...

Risks are to our Fed view skew hawkish. A rate hike this year is no longer a trivial possibility, in our view, but we do not expect such conditions to manifest in 2026. Getting there likely requires: a re-tightening of the labor market such that it returns as a source of inflationary pressures as well as an acceleration in core PCE above 3%. To be sure, recent de-escalation of tensions in the Middle East should take some of the near-term hiking pressure off the Fed, but would not fully remove the risk of hikes in 2027.

A resumption of hostilities between the US and Iran presents a clear and present danger as the two sides pursue a final agreement to settle the core dispute over Iran's nuclear program. Tech supply chain disruptions from Asia due to middle East tensions could also delay the AI-related capex implementation we expect this year. Aside from elevated geopolitical risk, we have not made any additional tariff assumptions with respect to the Section 301 investigation into "forced labor" practices of the US' main trading partners and the USTR's recommendations of 10-12.5% tariffs on approximately 60 countries. While the Administration has signaled its intent to impose 301 tariffs to partially replace its previous IEEPA tariff regime, it remains unclear if these 301 measures will be used as a negotiating tool (e.g. during USMCA negotiations in H2) or as a more lasting revenue source.

Regarding upside risks, it is possible that GOP majorities in both houses of Congress pursue another budget reconciliation bill this year to add fiscal support to consumers ahead of the midterm elections in November. However, there appears little appetite at present given the challenging budget outlook, for which we project federal deficits of roughly 6.5% of GDP over the next couple of years. Indeed, Iran war costs as well as other defense priorities could drive deficits closer to 7% over the next couple of years. Our base case is that another reconciliation bill this year will be narrow in scope and unlikely to provide meaningful further support for the economy (e.g., we do not expect substantial stimulus checks for households).

DB US Forecast Summary

Economic Activity	2026				2027				2028				2025F	2026F	2027F	2028F
(% qoq, saar)	**Q1**	**Q2F**	**Q3F**	**Q4F**	**Q1F**	**Q2F**	**Q3F**	**Q4F**	**Q1F**	**Q2F**	**Q3F**	**Q4F**	**Q4/Q4**	**Q4/Q4**	**Q4/Q4**	**Q4/Q4**
GDP	1.6	2.8	2.3	1.9	2.1	2.5	2.2	2.0	2.6	1.9	2.1	1.8	2.0	2.2	2.2	2.1
Private consumption	1.4	2.4	1.9	1.6	2.0	2.2	2.1	2.2	2.3	2.2	2.3	2.1	2.1	1.8	2.1	2.2
Investment	7.0	6.1	6.1	4.8	3.9	5.2	4.1	3.0	6.2	2.7	3.6	2.6	2.1	6.0	4.1	3.7
Nonresidential	10.1	5.9	5.4	4.8	4.8	4.5	4.1	3.9	3.3	3.3	3.4	3.2	5.6	6.5	4.3	3.3
Residential	-6.3	-1.0	-1.0	-1.0	1.5	1.0	1.2	0.9	2.5	2.3	2.4	2.0	-3.8	-2.3	1.1	2.3
Gov't consumption	4.4	1.3	1.0	0.7	0.5	0.3	0.1	-0.1	-0.3	-0.4	-0.3	-0.3	-1.2	1.8	0.2	-0.3
Exports	13.1	1.5	2.1	2.0	2.0	2.1	2.0	2.1	2.0	2.1	2.0	2.1	1.1	4.6	2.0	2.0
Imports	21.1	1.5	3.1	3.0	2.2	2.0	1.9	2.0	2.1	2.2	2.1	2.2	-1.9	6.9	2.0	2.1
Contribution (pp): Inventories	0.1	0.3	0.3	0.2	-0.1	0.2	0.1	-0.1	0.6	-0.1	0.1	-0.1	-0.1	-0.1	0.1	0.1
Net trade	-1.3	-0.1	-0.2	-0.2	-0.1	-0.1	-0.1	-0.1	-0.1	-0.1	-0.1	-0.1	-0.2	-0.2	-0.1	-0.1
Unemployment rate, %	4.3	4.3	4.3	4.3	4.3	4.3	4.2	4.2	4.2	4.2	4.2	4.2	4.5	4.3	4.2	4.2
Prices (% yoy)																
CPI	2.7	4.1	3.9	3.8	3.4	2.3	2.4	2.6	2.7	2.6	2.6	2.7	2.8	3.8	2.6	2.7
Core CPI	2.5	2.8	2.6	2.7	2.5	2.3	2.5	2.6	2.6	2.6	2.6	2.6	2.8	2.7	2.6	2.6
PCE	3.1	3.8	3.5	3.3	2.7	2.0	2.2	2.3	2.3	2.3	2.2	2.2	2.8	3.3	2.3	2.2
Core PCE	3.1	3.3	3.1	3.0	2.5	2.2	2.3	2.3	2.3	2.2	2.2	2.2	2.9	3.0	2.3	2.2
Fed Funds	3.63	3.63	3.63	3.63	3.63	3.63	3.63	3.63	3.63	3.63	3.63	3.63	3.63	3.63	3.63	3.63

Sources: Deutsche Bank

02.

Strategy Outlook

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Credit Strategy – 2026 Mid-Year Outlook
Nimble? More dispersion is coming

- **Public credit is shrugging its shoulders in the face** of: 1) more hawkish central banks & 2) private credit market woes. From a macro perspective, global credit investors aren't overly concerned about growth woes or supply chain bottlenecks emerging from the Iran conflict.
- **There are numerous headwinds** including sticky inflation, rising shipping costs, memory chip shortages that could impact key cyclical sectors & continued tariff uncertainty. The US economy is still very K-shaped, with leveraged loan & private credit markets heavily exposed to AI software disruption. At a minimum, the outlook until year-end calls for more dispersion and some spread widening.
- **$HY spreads are forecasted to widen to 305bps (+42bps) by year-end**, with total returns finishing just above +1.1% over the next 6 months when incorporating our rate strategists' forecast.
- We project $-spec-grade default rates to decline from 4.0% to 3.6% by YE'26, and then rising back to 4.0% by Jun'27.

	OAS (vs. Gov)		Excess Returns	Total Returns
	Current	Q3-Q4'26	Year-end	
$IG	72	82	-0.29%	1.03%
$HY	266	305	-0.78%	1.11%

	Trailing 12m default rates (issuer-weighted, incl. exchanges)		
	Current	YE'26	Q2'27
US Spec-Grade	4.0%	3.6%	4.0%

Source: Bloomberg Finance L.P., Moody's, Deutsche Bank. N.B.: Returns are based as of closing values from June 12, 2026

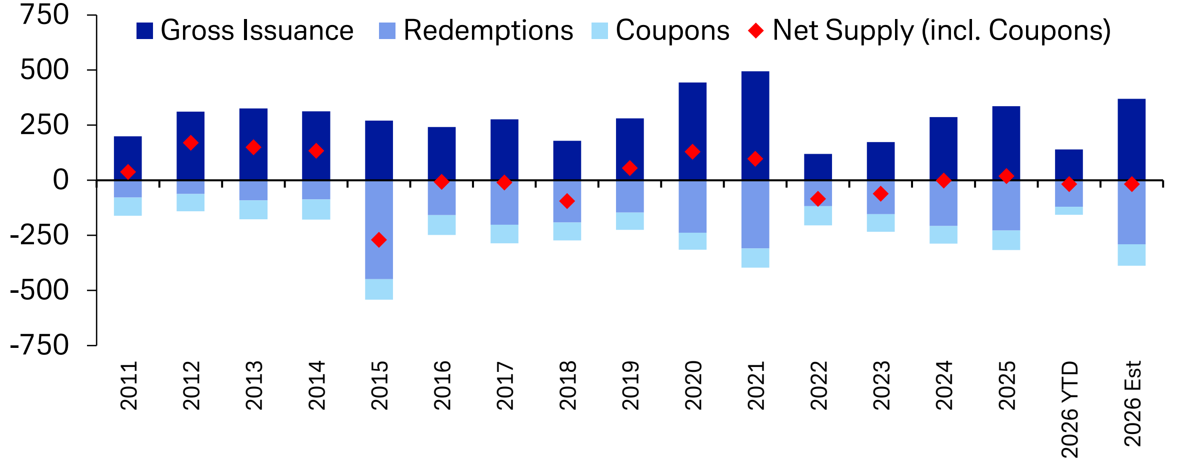
	Ratings	Curves	Top Sector Overweights	Top Sector Underweights	Off-Benchmark
$IG	A = BBB	OW 1-7yr; UW +7yr	Large US Banks, Cap Goods, Hyperscalers, Energy, Utilities	Insurance, Consumer Cyclicals & Staples, Pharma, Transports	BBB < BB
$HY	BB = B1 & B2 > B3 & CCCs		Higher-rated Basic Industrials, Capital Goods, Energy, Wireless & Wirelines	Consumer Cyclicals. Healthcare, Technology, Cable & Satellites	

Credit Strategy – 2026 Mid-Year Outlook

Technicals remain strong, which can moderate $HY spread widening

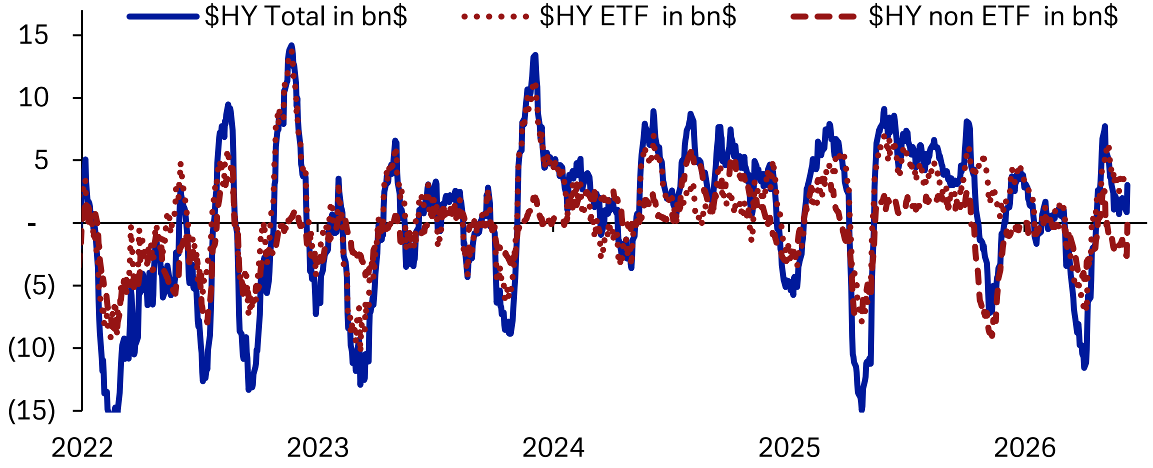
- **$HY markets are seeing low net supply numbers,** outside a few key pockets of strength (Data Centers, LBOs, Hybrids). This offsets the weaker fund flows in $HY, which are further mitigated by high cash balances for $HY mutual fund managers.
- **HY fund flows have been mixed,** with periods of outflows, given retail investors are more responsive to market vol.
- **However, $HY fund manager cash balances are elevated,** which helps to offset the impact of recent outflows and boost the technical resilience of the market

$HY net supply (incl. coupons) can continue to be positive for spreads



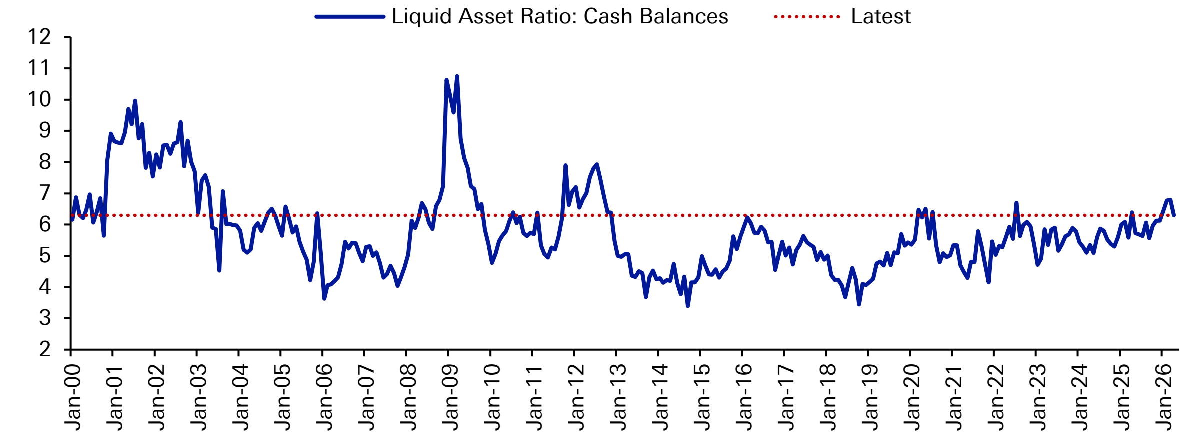
Source: Deutsche Bank, Bloomberg Finance L.P.

Rolling 1M $HY Fund Flows



Source: Deutsche Bank, EPFR

$HY real money cash balances (% AUM)

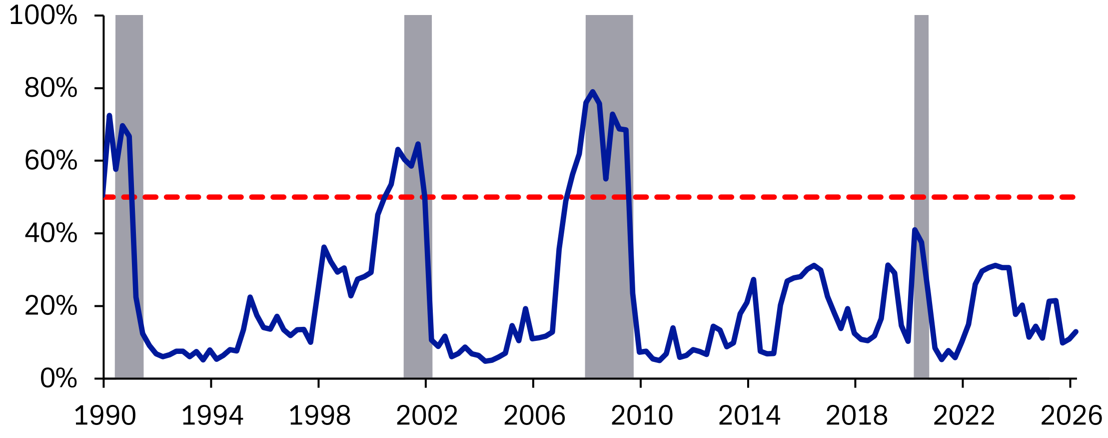


Source: Deutsche Bank, Haver Analytics

US recession probability remains low, even as pockets of weakness will lead to dispersion

- **The K-shaped US economy still lives**, and US credit dispersion will persist. Our "fire & ice" theme from the start of the year should perhaps be reframed as an "AI & ice" US economy, given how narrow we believe the drivers of US growth to be.
- **US artificial intelligence tailwinds feed back into very strong US corporate profits** and a wealth effect that supports the high-income US consumer, and this is a major reason why our US credit-based recession model is still only forecasting a 12% probability of a US downturn through Q1'27. It is very hard to see a spike in US defaults with overall US growth so solid.
- **However, US businesses today are forecasting future demand expectations and future margin compression at near the worst rate in 5 years.** This would certainly imply higher $HY & $Lev Loan defaults, than what the aggregate macroeconomic data would imply.

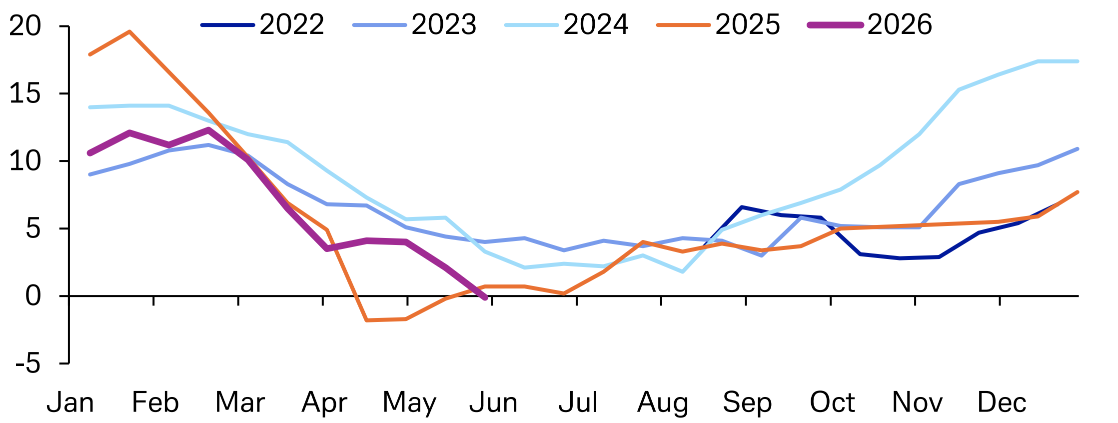
US Credit-Based Recession Model



Source: Deutsche Bank, Bloomberg Finance L.P.

Given our concerns that US GDP-based interest coverage is being skewed lower by a few large IG-rated firms, we illustrate our US recession indicator above without interest coverage as well.

% of businesses expecting a net increase in demand 6m from now



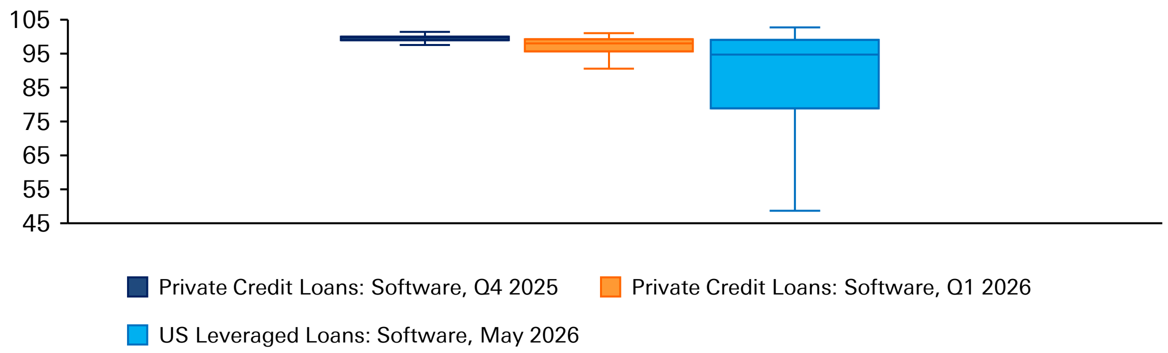
Source: Deutsche Bank, US Census Business Trends & Outlook Survey

Credit Strategy – 2026 Mid-Year Outlook

A US Software glitch can materially tighten funding markets

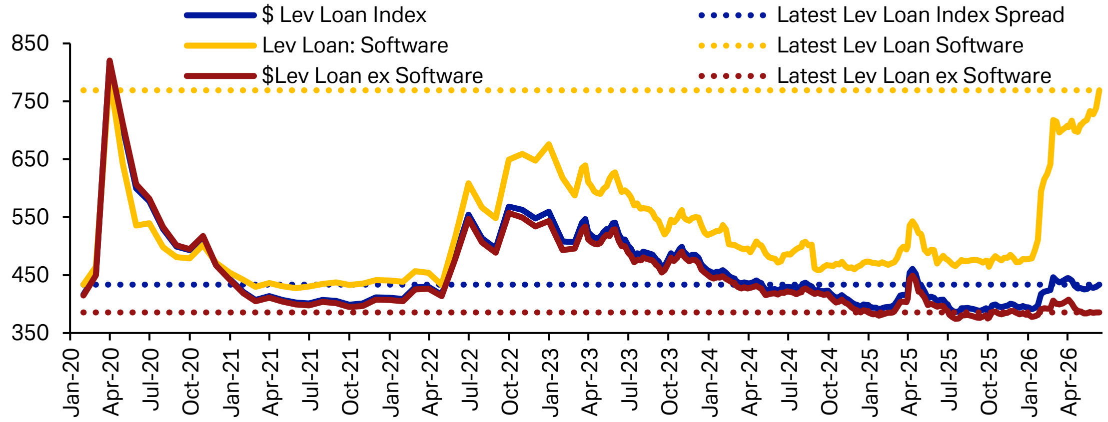
- **$LL software spreads are trading near 750bps**, at the YTD wides and near March 2020 levels. But ex-software spreads are only trading at 385bps, below 2021 levels. The market is pricing software as an isolated issue.
- **Market prices imply that nearly 30% of US software lev loans should be CCC-rated*.** If true, the share of CCCs in the US Lev Loan index will swell to 7.5%+. That is the risk of the largest sector in the index facing AI disruption.
- **This software stress can propagate more broadly**. Especially if the stale software loan marks in US Private BDCs are marked lower in coming quarters. And if they are not marked down, it can continue to feed into US BDC liquidity pressures.

If software fundamentals weaken, PC software loans will need to be marked materially lower



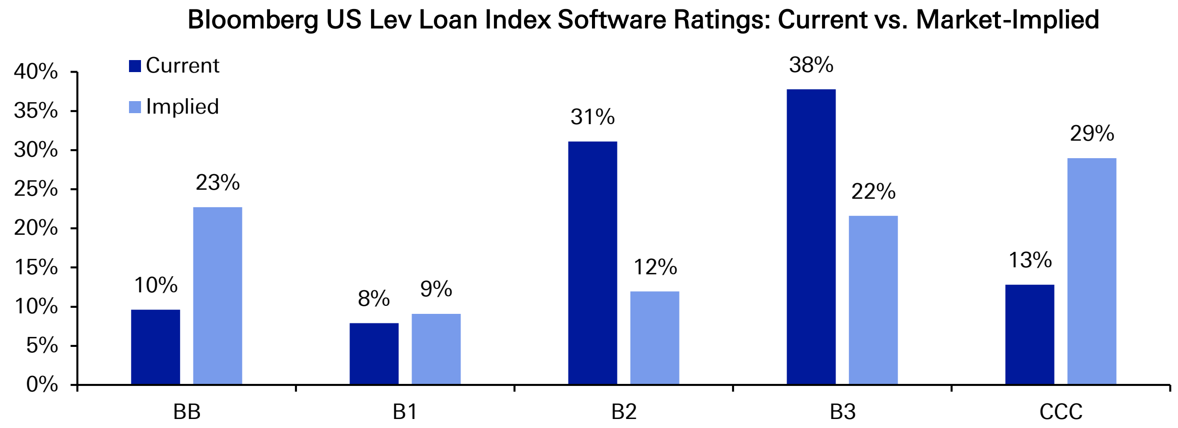
Source: Deutsche Bank, Pitchbook

US Lev Loan software spreads are approaching Covid-era wides



Source: Deutsche Bank, Pitchbook

Market prices imply that ~30% of US software LL should be CCC-rated*



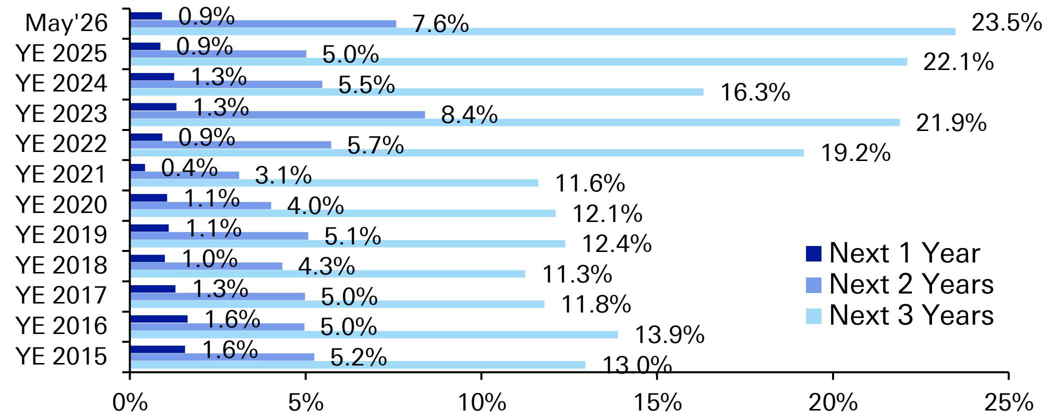
Source: Deutsche Bank, Bloomberg Finance LP,
*Market-implied ratings are calculated by comparing current individual $LL software prices vs the average price per $LL rating bucket. We assign a market-implied software rating based on the average rating bucket price that is closest to the individual software loan price

Credit Strategy – 2026 Mid-Year Outlook

A US Software glitch can materially tighten funding markets

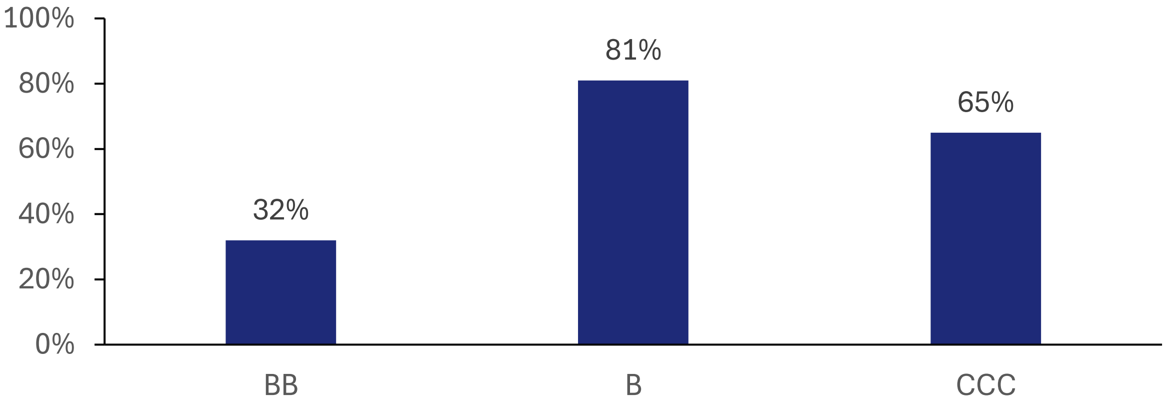
- **The tailwinds of AI adoption will eventually become headwinds for spec-grade credit** as they trigger tighter financial conditions for B rated firms.
- **The market is in an uneasy equilibrium.** The health of the broader $LL market and the lack of any tangible software fundamental deterioration yet has limited the amount of loan markdowns that private credit funds have had to take. However, a few weak software earnings, coupled with rating downgrades and rising CCC buckets in US Loan indices, would lead both macro- and company-specific fundamental factors to deteriorate quickly.
- **We suspect software stress is likely to spread more broadly**, within both private credit & leveraged loan markets over the next 6-12 months. With 80% of all $B rated debt financed in either private credit or leveraged loans, the reality of still near record-high T+2 & T+3 maturity walls for $B & CCC rated credit highlights that this is a risk not to forget.

$LL & sub-$BB HY cumulative maturity wall as % of notional



Source: Deutsche Bank, Bloomberg Finance L.P. Pitchbook

% of Spec-Grade Debt Financed by Private Credit & Leveraged Loans

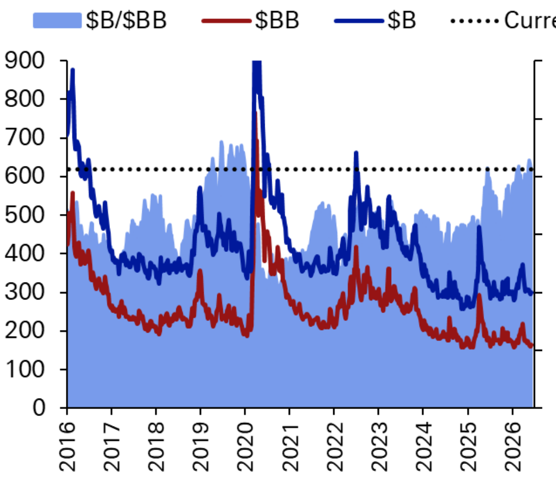


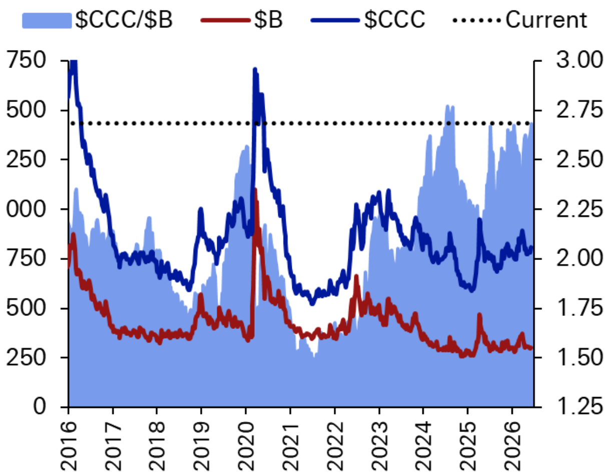
Source: Deutsche Bank, Bloomberg Finance L.P. Pitchbook

$HY Ratings: Mind $B3 downgrade risks

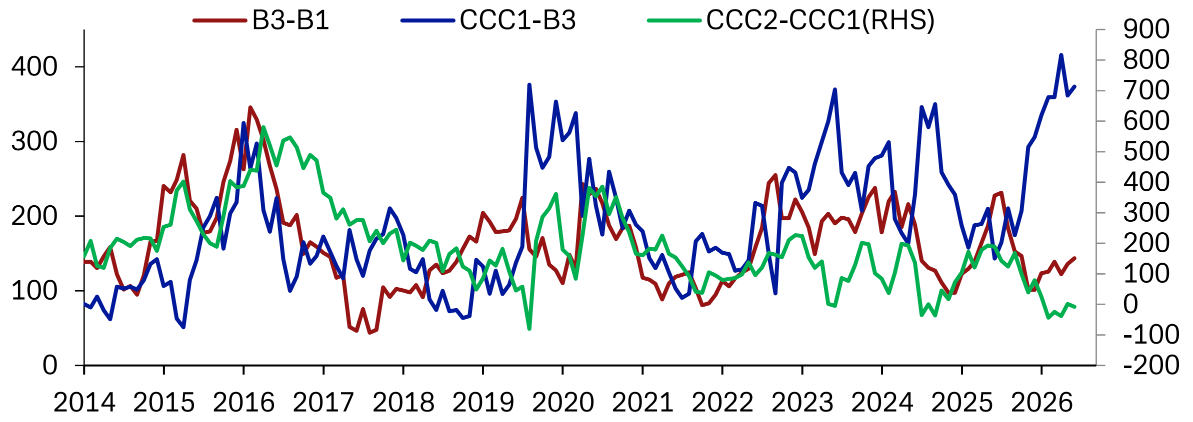
- Given the relatively tight $BB valuations and how cheap $Bs continue to be, **we largely maintain our neutral stance between B & BBs.**
- The one caveat is that **B3 risks look to have larger-than-average "downgrade risk".** At a rating notch level, the CCC1-B3 spread differential has remained near the all-time wides over the last few months.
- Meanwhile, B3-B1 spread differentials are historically tight, as are CCC2-CCC1s.
- **B3 debt could be quite risky here** if there were a surprise downgrade or if the market started to price in more downgrade/default risks.
- Despite how cheap $CCC spreads look relative to $Bs on a spread ratio basis, **we remain wary of $CCC risk, even at current spreads.**

$B spreads have been trending wider in recent months to $BBs





B3s are trading tight to B1s, with a big cliff to where CCC1s trade

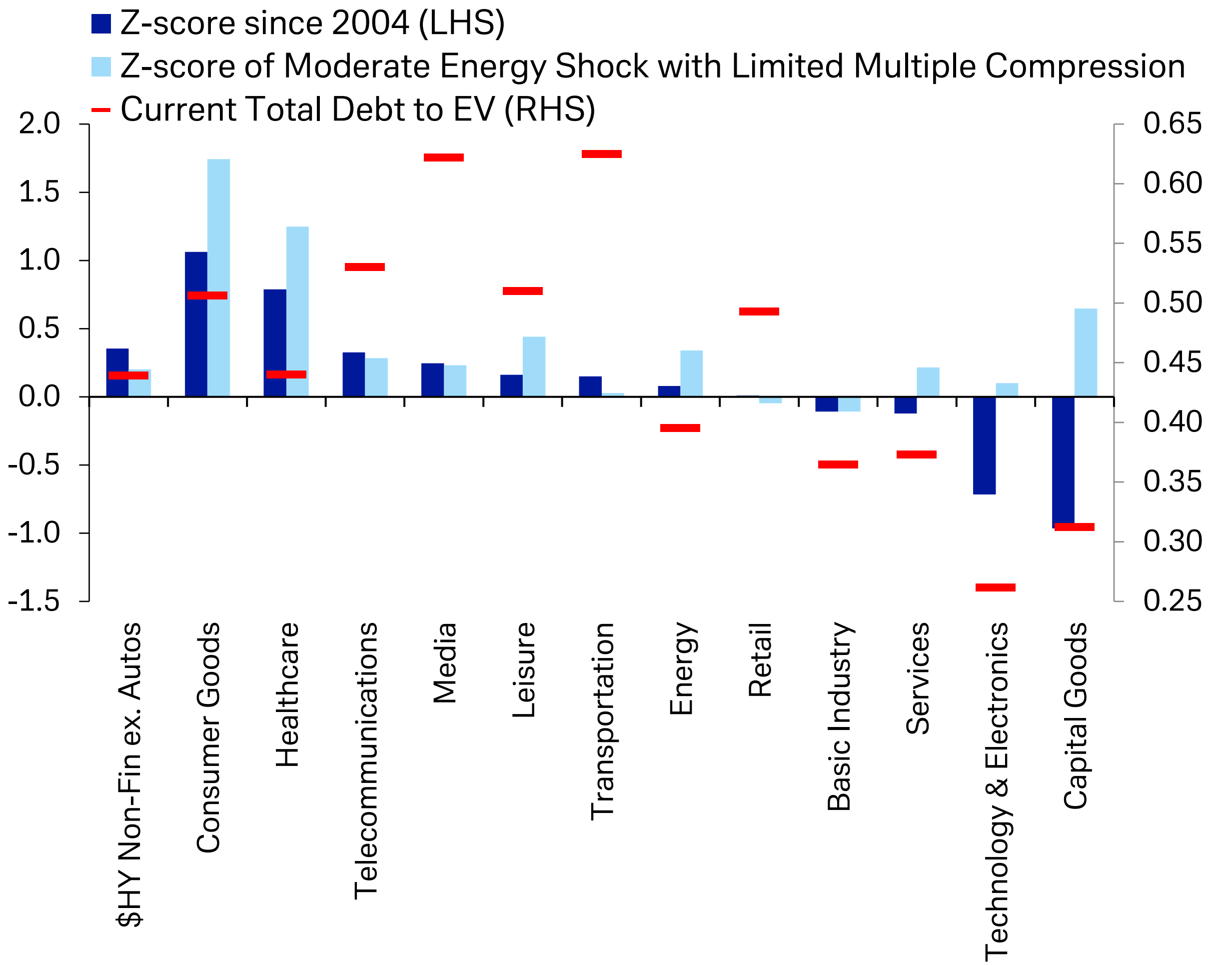


Source: Deutsche Bank, Bloomberg Finance L.P., ICE Indices

Credit Strategy – 2026 Mid-Year Outlook
Which sectors are more exposed to defaults and fundamental risks?

- **Looking ahead to the next 6 months, there will be greater $HY dispersion led by two major factors.** The energy shock and rising inflation worries are translating into higher US Treasury yields which could lead to a **re-rating of frothy multiples**. Meanwhile, elevated energy and commodity costs can also **weigh on margins**, leading to higher future leverage.
- **We created two scenarios looking at a moderate and large energy shock and the ensuing multiple compression** as the Fed responded to rising inflation expectations. Given the US-Iran deal, it appears we are heading to the milder scenario wherein the Strait of Hormuz is opened by month's end.
- **Cyclicals see the biggest jump in leverage** on the back of both compressed margins and re-rated multiples. $HY Capital Goods, Technology, and Consumer Goods see the biggest jump in leverage, with Consumer Goods in particular reaching a high level in their own history.

$HY Median Debt/EV by Sector and Z-score since 2004



Source: Deutsche Bank, Bloomberg Finance L.P.

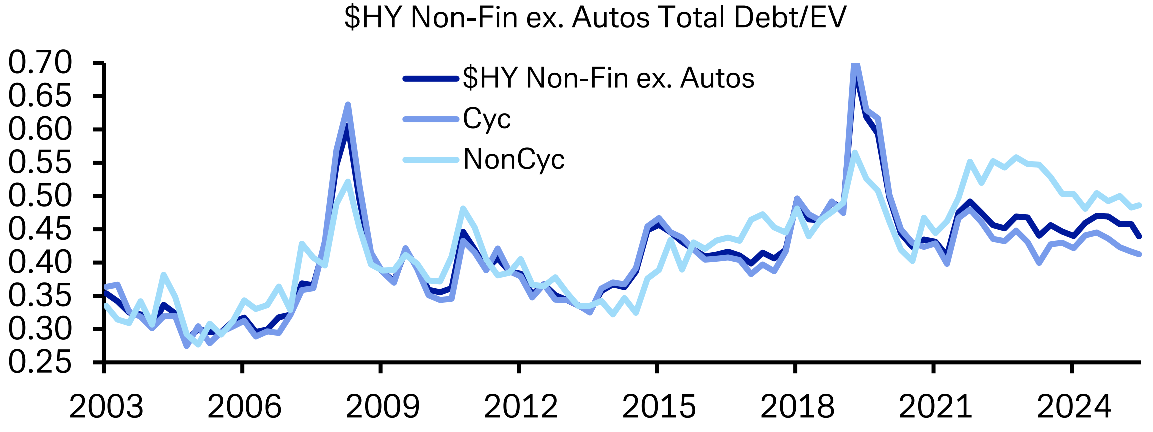
Credit Strategy – 2026 Mid-Year Outlook

Which sectors are more exposed to defaults and fundamental risks?

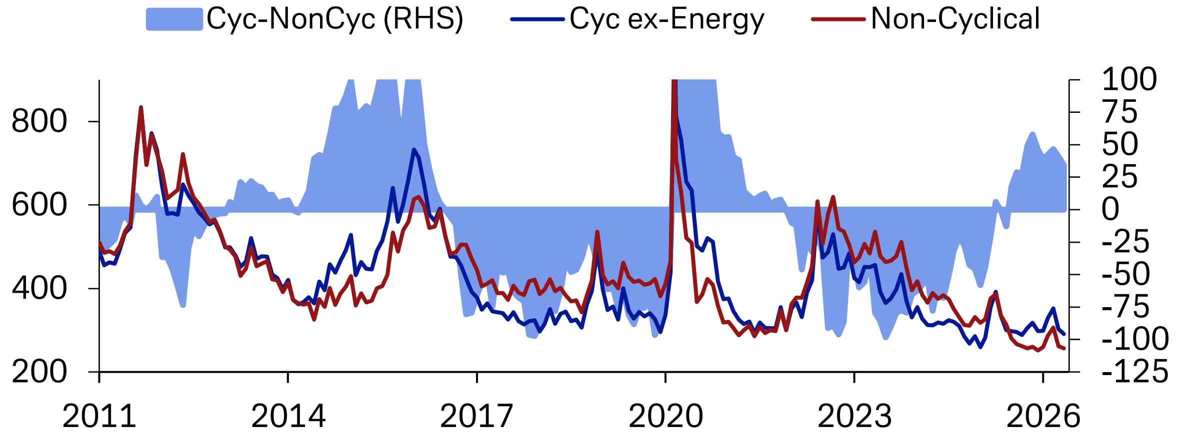
- We maintain our overall sector preference wrapper, wherein **we lean away from any consumer-oriented risks** while getting as close to the **firms benefiting from the AI-buildout as possible**.

Positioning		Total	BB	B	CCC
	$HY	266	155	273	711
	Financials				
UW	Finance Companies	262	213	381	1022
MW	Insurance	225	173	245	336
MW	Real Estate	241	188	217	440
	Cyclicals				
OW	Basic Industry	258	145	242	906
OW	Capital Goods	219	104	221	940
MW	Media & Entertainment	321	218	324	465
UW	Consumer Cyclicals	233	148	259	739
OW	Consumer Cyc Services	299	139	302	811
OW	Energy	156	127	213	224
MW	Technology	327	161	467	1051
UW	Transportation	427	180	435	1270
	Non-Cyclicals				
UW	Cable & Satellite	561	217	246	1510
OW	Wireless	257	240		289
OW	Wirelines	380	186	188	860
UW	Consumer Non-Cyclicals	258	123	230	596
UW	Healthcare	230	108	262	625
UW	Pharmaceuticals	398	109	144	521

$HY Debt/EV metrics have improved in recent quarters as growth trends have supported Cyclical issuers in particular



Cyclical $HY spreads are meaningfully underperforming Non-Cyclicals



Source: Deutsche Bank, Bloomberg Finance L.P., ICE Indices

03.

Consumer and Retail

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Consumer | 2026 Outlook
Key Themes in Consumer

Sector Highlights:

- **Geopolitical & Supply Chain Volatility.** Ongoing conflicts and trade disruptions are increasing energy, logistics, and input costs. Companies with resilient supply chains and dynamic sourcing strategies are expected to outperform amid continued uncertainty.

- **Margin Discipline.** With inflationary and competitive pressures persisting, organizations are prioritizing simplification, automation, and cost optimization to protect profitability while funding growth initiatives.

- **Value-Seeking Consumer.** The consumer landscape remains characterized by selectivity, with a continued emphasis on affordability, promotions, and value. Private label offerings will remain relevant as consumers look for ways to save.

- **Discretionary Spend Remains Pressured.** In addition to higher interest rates, elevated gas prices have caused consumers to spend less on discretionary items which we anticipate will continue through the back half of 2026.

Crocs Inc. (CROX) – Apparel

BUY TLB due ‘29 and SUNs due ‘29 & ‘31

Business Description: Crocs, Inc. designs, manufactures, and markets casual lifestyle footwear and accessories for men, women, and children. CROX markets its products in more than 80 countries through two distribution channels, wholesale and direct-to-consumer.

Credit Highlights:

- **Expanding its international presence:** International sales for its Crocs Brand were up 7.2% last quarter. CROX converted its Malaysian business to be directly owned and operated adding 21 retail stress in the region.
- **DTC Resilience Counters Wholesale Headwinds:** DTC segment is seeing continued growth from new products and collaborations, countering wholesale declines

Catalysts:

- **Strong FCF generation:** We expect CROX will continue to generate healthy levels of FCF (DBe of $411mn for FYE26, and $699mn for FYE27)
- **Solid liquidity of $971mn and a large equity cushion (16% LTV)**

Outstanding Issues

DB Rec	BBG Ticker	Ranking/ Seniority	Coupon	Amt O/S	Maturity	Price	YTW/YTM*	DM / Sprd	Mdy's/ S&P
BUY	CROX	1L	S + 225	$500	2/20/2029	100.625	5.66%	199	Ba1/BBB-
BUY	CROX	Sr. Unsec'd	4.250%	$350	3/15/2029	97.500	5.24%	113	Ba3/BB
BUY	CROX	Sr. Unsec'd	4.125%	$350	8/15/2031	94.125	5.45%	126	Ba3/BB

Sources: Company reports and Bloomberg Finance LP.

Capital Structure Summary:

Description	Amt O/S	Gross	Net	at Mkt	Other Info:	
$1.0bn RCF '27	$159				**Adj. EBITDA**	$1,003
TLB due 2029 (S + 225)	$500				(-) Capex	$54
Secured Debt	**$659**	**0.7x**	**0.5x**	**0.5x**	(-) Cash Interest	$75
					(-) Cash Taxes	$188
Senior Notes due 2029 - 4.250%	$350				**"Simple" FCF**	**$686**
Senior Notes due 2031 - 4.125%	$350				as % of TD	50.5%
Total Debt	**$1,359**	**1.4x**	**1.2x**	**1.2x**		
Cash on hand	($131)				**Liquidity:**	
Net Debt	**$1,228**				Cash on hand	$131
Market Cap	$6,362				Credit Lines	$840
Enterprise Value	**$7,590**		**7.6x**		**Total Liquidity**	**$971**

Sources: Company reports and Bloomberg Finance LP.

Dave & Buster's (PLAY) – Restaurants

BUY TLB due '29 and '31

Business Description: Dave & Buster's (PLAY) operates 247 venues in North America offering entertainment and dining experiences for customers under both its Dave & Busters and Main Event brands.

Credit Highlights:

- **New management team:** implemented a targeted marketing campaign, revamped menu, and rolling out new games
- **Expansion plans:** anticipates 11 new stores openings in FY26 and targeting 10-20 store remodels in FY27
- **Strong liquidity and maturity runway:** total liquidity sits at $499 million and no maturities until 2029

Catalysts:

- **SSS inflection point:** anticipate improvement throughout the year on SSS and an inflection point to come (World Cup boost, ~15 new games introduced, IP partnerships, targeted marketing campaigns)
- **CapEx set to come down:** mgmt. is planning for half as many new store openings and more remodels of existing stores in FY27 & FY28, which will lead to lower capex and more FCF for debt repayment (paid down $20 million RCF in 1Q26)
- **We believe the DM should be closer to 600 bps resulting in 5-8 pts upside**

Outstanding Issues

DB Rec	BBG Ticker	Ranking/ Seniority	Coupon	Amt O/S	Maturity	Price	YTW/YTM*	DM/Sprd	Mdy's/ S&P
BUY	PLAY	Sr. Unsec'd	S + 325	$691	6/29/2029	85.625	12.66%	901	B3/B-
BUY	PLAY	Sr. Unsec'd	S + 325	$690	10/31/2031	79.313	12.33%	868	B3/B-

Sources: Company reports and Bloomberg Finance LP.

Capital Structure Summary:

Description	Amt O/S	Gross	Net	at Mkt	Other Info:	
RCF due 2029	$150				**Adj. EBITDAR**	$677
TLB due 2029 (S + 325)	$691				(-) Rent	$253
TLB due 2031 (S + 325)	$690				(-) Net Capex	$219
Financing Obligation	$1,589				(-) Cash Interest	$134
Secured Debt	**$3,119**	**4.6x**	**4.6x**	**4.2x**	(-) Cash Taxes	$12
					"Simple" FCF	**$59**
Total Debt	**$3,119**				as % of TD	1.9%
Cash on hand	($20)					
Net Debt	**$3,100**				**Liquidity:**	
Market Cap	$389				Cash on hand	$20
Enterprise Value	**$3,489**		**5.2x**		Credit Lines	$480
					Total Liquidity	**$499**

Sources: Company reports and Bloomberg Finance LP.

Risks

Crocs (CROX)

- Risks to the downside of our BUY rating consist of:
  - Trends in the fashion industry evolving away from casual footwear
  - Management pursuing more shareholder friendly activities
  - Continued declines in its HEYDUDE Brand

Dave & Busters (PLAY)

- Risks to the downside of our BUY rating consist of:
  - Challenging macro environment persisting leading to continued elevated gas prices and pressure on overall consumer discretionary spending
  - SSS remaining negative for longer than anticipated
  - A change in capital allocation policy towards more shareholder friendly activities
  - Increased competitive environment

04.
Healthcare

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Healthcare – 2026 Outlook
Still Many Moving Parts

Healthcare Themes/Concerns:

- **Commercial Payor Behavior**. We believe denials, downcoding, etc. continue to present challenges for some providers.
- **Potentially Soft Q226 Results**. Per certain channel checks Q226 provider results could be below expectations.
- **Exchange Subsidies**. The loss of expanded subsidies should be meaningful to certain providers as this plays out over the balance of 2026.
- **OBBBA Impact.** Following the OBBBA legislation in 2025, there are significant Medicaid risks (and mitigations) that become more pronounced in 2028 and ensuing years.

Healthcare Themes/Concerns (continued):

- **AI Adoption.** We believe this could create opportunities and threats for various sub-sectors of healthcare.
- **GLP-1 Uncertainty.** Although these risks could play out over a longer time, products and services related to certain disease states could be impacted by increased GLP-1 adoption.
- **Business Disruption.** We believe business disruption risk (AMZN, channel, better IT, etc.) can continue to be a broader risk to certain healthcare businesses.
- **Tariffs.** There continues to be uncertainty around tariffs for medical products and pharmaceutical companies, and how these could directly or indirectly impact certain of our companies under coverage.

Community Health Systems, Inc. (CYH) – Healthcare
BUY 1L Bonds

Business Description: Community Health operates hospitals and related facilities, primarily in rural and small city markets. At 6/1/26 CYH owned or leased 60 hospitals and operated over 800 sites of care.

Credit Highlights:

- **Incremental Yield and Lower Dollar.** At a price of 91.79, the 4.75% 1L bonds of '31 trade at a YTW of 6.83% versus the HY Healthcare index of 6.75%.
- **Total Return.** Based on a price of 95 ($368 mm bonds tendered there), the 1-year total return would be 8.59%.
- **Leverage Through 1Ls Manageable.** By our calculations LTM net 1L leverage was 4.9x.

Outperformance Rationale/Catalysts

- **Bonds Lower.** We believe uncertainty with Q226 results, payor pressure, and expected Medicaid cuts have negatively impacted bonds / created some opportunities.
- **Limited Dollar Downside.** In our opinion, dollar downside is limited in CYH's 4.75% 1Ls.
- **Create Secured Capacity**. CYH could continue to target 4.75% 1Ls among other tranches to create secured capacity with future divestiture proceeds.
- **Hospitals are a Protected Class.** It's our view that the importance of healthcare delivery and jobs render hospitals a protected class.

Outstanding Issues

DB Rec	BBG Ticker	Ranking/ Seniority	Coupon	Amt O/S	Maturity	Price	YTW/YTM*	STW	Mdy's/ S&P
BUY	CYH	1L	6.000%	$644	1/15/2029	99.319	6.29%	199	Caa1 / B-
BUY	CYH	1L	5.250%	$1,535	5/15/2030	94.284	6.94%	280	Caa1 / B-
BUY	CYH	1L	4.750%	$689	2/15/2031	91.799	6.83%	267	Caa1 / B-
BUY	CYH	1L	10.875%	$1,549	1/15/2032	107.734	6.86%	278	Caa1 / B-
BUY	CYH	1L	10.750%	$700	6/15/2033	107.205	9.16%	487	Caa1 / B-
BUY	CYH	1L	9.750%	$1,790	1/15/2034	104.564	8.42%	399	Caa1 / B-
HOLD	CYH	2L	6.875%	$1,244	4/15/2029	98.732	7.37%	315	Caa3 / CCC-
HOLD	CYH	2L	6.125%	$1,227	4/1/2030	90.261	9.22%	510	Caa3 / CCC-
HOLD	CYH	Sr. Unsec'd	6.875%	$42	4/1/2028	96.995	8.71%	468	Ca / CCC-

Capital Structure Summary:

Description	Amt O/S	Gross	Net	at Mkt	Other Info:	
$1900 mm 5.625% Secured Bond due 03/15/27	$0				Adj. EBITDA	$1,460
$700 mm 8% Secured Bond due 12/15/27	$0				(-) Capex	$361
$900 mm 6% Secured Bond due 01/15/29	$644				(-) Cash Interest	$836
$1535 mm 5.25% Secured Bond due 05/15/30	$1,535				(-) Cash Taxes	$0
$1095 mm 4.75% Secured Bond due 02/15/31	$1,058				**"Simple" FCF**	**$263**
$1000 mm 10.875% Secured Bond due 01/15/32	$1,780				as % of TD	2.6%
$700 mm 10.75% Secured Bond due 06/15/33	$700					
$1790 mm 9.75% Secured Bond due 01/15/34	$1,790					
ABL due 6/5/2029	$0					
Receivables Facility	$0					
Capital Leases	$299					
Other	$42					
Total 1L Debt	**$7,848**	**5.4x**	**4.9x**	**4.8x**		
$1775 mm 6.875% 2nd Lien Bond due 04/15/29	$1,244					
$1440 mm 6.125% 2nd Lien Bond due 04/01/30	$1,227					
Total 2L Debt	**$10,319**	**7.1x**	**6.6x**	**6.4x**		
$1700 mm 6.875% Bond due 04/01/28	$42					
Unamortized Deferred Debt Issuance Costs and Note Premium	($205)					
Total Debt	**$10,156**	**7.0x**	**6.5x**	**6.3x**		
Cash	($712)				**Liquidity:**	
Net Debt	**$9,444**				Cash	$712
Market Cap	$411				Availability	$824
Enterprise Value	**$9,855**	**NA**	**6.8x**	**6.5x**	**Total Liquidity**	**$1,536**

Sources: Company Disclosures and Bloomberg Finance LP.

Risks

Community Health Systems (CYH)

- We believe the risks to our Buy rating are largely regulatory and operational in nature. If greater-than expected Medicaid cuts come through legislative or regulatory changes, bonds could underperform. In addition, if CYH is unable to grow EBITDA and generate sustainable FCF, bonds could underperform.

05.

Industrials

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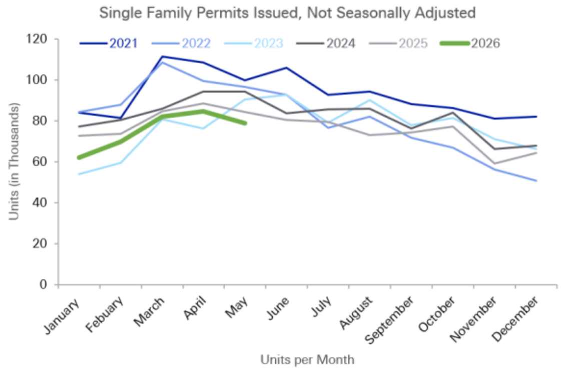
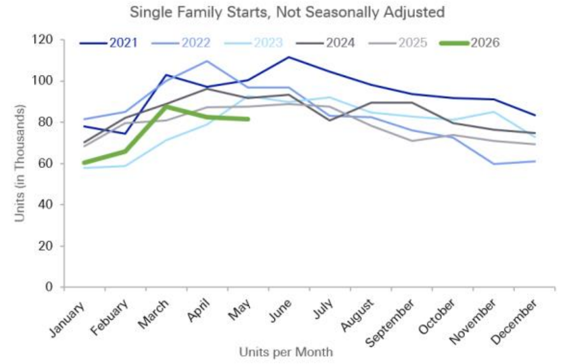
U.S. Building Products | Residential and Non-residential – 2026 Outlook

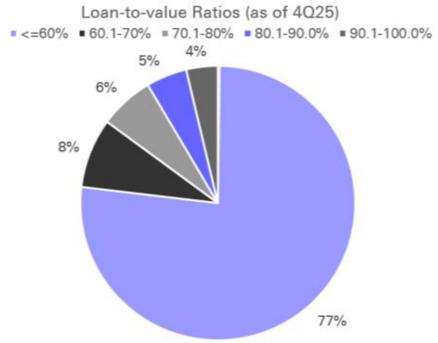
No 2H recovery, is 2027 any different? SF New Resi –LSD/MSD, MF +HSD, R&R +LSD, Light commercial +LSD

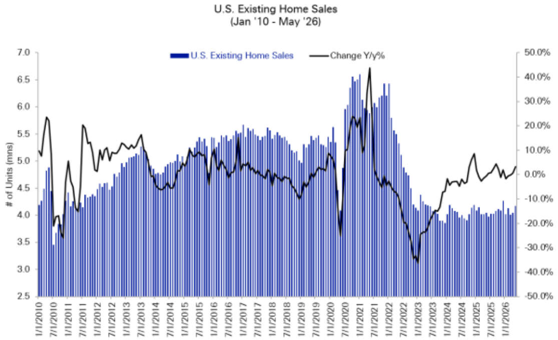
Sector Highlights:

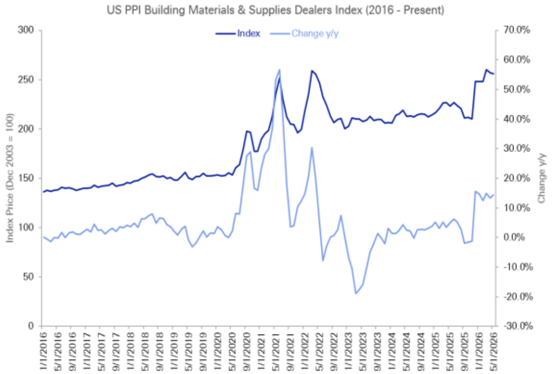
- **2026 Outlook (in %):** New SF (-LSD/MSD), New MF (+HSD), residential R&R (+LSD), non-residential (light commercial) (+LSD).
- **New residential construction showing no turnaround, we continue to see little to no recovery in 2H26.** SF residential starts continue to remain soft, down about (6)% YTD in 2026. We continue to see limited scope for a 2H26 recovery based on permit momentum. We are concerned about a no recovery year in 2027.
- **Resi R&R held back by limited improvement in EHS and deteriorating Fed rate path.** Fed rate path has re-priced to +1 hike by FYE26, up from the low of almost 7 cuts in September '25. Lack of activity holding back 'coiling' demand. Structural backdrop remains favorable with 85% of mortgages with LTV ≤70% providing ample 'dry powder', aging housing stock.
- **Non-residential markets flat, dispersion underneath.** We expect light commercial (within the broader non-residential sector) to be +LSD. 2026 YTD: Infra +MSD, Office (incl. data centers) +MSD, Manufacturing -DD.
- **Key Risks:** Cost inflation – although the Iran conflict is (as of now) being resolved, material inflation is likely to run hot in 2026. We think many companies will face margin compression due to a combination of inability to fully pass through this inflation and reaching the maximum level of cost-cutting available. Affordability – remains at the forefront of housing malaise, 30Y mortgage rates at about 6.6% (up from 2026 lows in 2026).











Sources: FHFA.gov, Bloomberg Finance LP, U.S. Census Bureau, U.S Bureau of Labor Statistics and Deutsche Bank

Bristow (VTOL) – Aerospace & Defense
BUY on 6.75% Sr Sec'd Nts '33

Business Description: Leading global provider of helicopter transportation services into offshore energy and government services end-markets.

Credit Highlights:

- **Fleet investment masking attractive FCF characteristics.** The company is spending well above annual maintenance capex (of ~$20mn) in 2026 and in 1H27.
- **Net leverage should end FYE26 at 1x and FYE27 at 0.4x.** We see significant EBITDA growth and overall FCF of $280mn over 2026 and 2027 which should drive organic de-leveraging.
- **Pledged collateral well covers notes.** FMV of underlying helicopter-based collateral is $1bn based on recent appraisal.

Outperformance Rationale/Catalysts

- **Risk-reward favorable with 'hard asset' pledge under-appreciated, bonds slightly wide to BB-index, potential 8%+ total return.** We think investors are over-looking the hard-asset value of the collateral of $1bn which covers the notes by 2x. At an OAS of ~200bp, the bonds trade wide to BB-index of 160bp and should trade at or inside the index.
- **2H27 run-rate cash flow expected to be about $240mn.** We estimate as fleet investment subsides, run-rate overall FCF will be about $240mn in 2H27.
- **SAR ramp and O&G pricing should drive EBITDA improvement in 2026 and 2027.** The ramping of recently won search-and-rescue (SAR) contracts with governments and favorable pricing resets on OES contracts should drive EBITDA to about $298mn in 2026 (+21.1% y/y) and $335mn in 2027 (+12.6% y/y).

Outstanding Issues

DB Rec	BBG Ticker	Ranking/ Seniority	Coupon	Amt O/S	Maturity	Price	YTW/YTM*	DM/Sprd	Mdy's/ S&P
BUY	VTOL	1L	6.750%	$500	2/1/2033	101.125	6.47%	199	Ba3/BB

Capital Structure Summary:

Description	Amt O/S	Gross	Net	at Mkt	Other Info:	
$70mn ABL Facility '31 (S+175)	$0				**Adj. EBITDA**	$247
IRCG Debt (E+195) '31 (€100mn)	$114				(-) Capex	$131
6.75% Sr Sec'd Nts '33	$500				(-) Cash Interest	$49
UKSAR Debt '36 (SONIA +275) (GBP 200)	$160				(-) Cash Taxes	$17
Total 1L Debt	**$774**	**3.1x**	**1.7x**	**1.8x**	**"Simple" FCF**	$50
					as % of TD	6.4%
Total Debt	**$774**	**3.1x**	**1.7x**	**1.8x**		
Cash on hand	($342)					
Net Debt	**$432**				**Liquidity:**	
					Cash on hand	$342
MV of Equity	$1,277				Credit Lines	$52
Enterprise Value	**$1,709**		**6.9x**		**Total Liquidity**	**$394**

Sources: Company reports, Deutsche Bank and Bloomberg Finance LP.

Park River Holdings Inc. (a/k/a Primesource) (PRIMBP) – Building Products
BUY S+450 TL '31, 8.0% 1L Nts '31 and 8.75% 2L Nts ' 31

Business Description: Manufacturer and distributor of a range of building products including fasteners, cabinets and related accessories, and fencing hardware, among others. Owned by Clearlake Capital since 2020.

Credit Highlights:

- **No near-term maturities through 2029.** PRIMBP extended its capital structure in late-2025 with no near-term maturities until 2029 (RCF).
- **Significant prospective FCF generation of about $66mn (p.a.) 2026 – 2027.** Business requires limited capex at about 1% of total sales.
- **Overweight R&R, diverse product offering.** ~70% of sales are from residential R&R. PRIMBP has a diversified set of product verticals including fasteners, kitchen and bath, and outdoor living.

Outperformance Rationale/Catalysts

- **Mostly a carry trade, we view structure as attractive risk-adjusted total return at around 9-10%.** We think PRIMBP will continue to perform well as investors better appreciate the platform's unique credit characteristics relative to the sector. We prefer reaching down the quality curve to the 2Ls.
- **Limited drawdown risk to earnings on 'asset-light' model.** We see revenue of decline of only (1.4)% y/y and EBITDA of $355mn (-5.3% y/y) in 2026. Asset-lite model and inflation-resilience limit declines seen elsewhere across the sector.
- **Inflationary-resistant model with gross margins likely stable in 2026.** Historically PRIMBP has managed well through inflationary periods (e.g. Section 232 tariffs) and we expect nothing different in 2026 with GMs flat at 35.4% y/y.
- **Monetization potential as investment ages.** Sponsor has been in PRIMBP since 2020, and we think monetization could be a catalyst in the next 12-24 months (subject to cyclical considerations).

Outstanding Issues

DB Rec	BBG Ticker	Ranking/ Seniority	Coupon	Amt O/S	Maturity	Price	YTW/YTM*	DM/Sprd	Mdy's/ S&P
BUY	PRIMBP	1L	S+450	$1,020	3/17/2031	99.875	8.34%	453	B3/B-
BUY	PRIMBP	1L	8.000%	$800	3/15/2031	101.250	7.39%	305	B3/B-
BUY	PRIMBP	2L	8.750%	$538	12/31/2030	98.125	9.25%	492	Caa2/CCC

Capital Structure Summary:

Description	Amt O/S	Gross	Net	at Mkt	Other Info:	
$790mn ABL Facility (S+200bp) '29	$218				**Adj. EBITDA**	$382
1L TL (S+450) '31	$1,020				(-) Capex	$34
8% Sr. Sec'd Nts '31	$800				(-) Cash Interest	$214
Finance leases / other	$55				(-) Cash Taxes	$25
Total 1L Debt	**$2,093**	**5.5x**	**5.4x**	**5.5x**	**"Simple" FCF**	$109
					as % of TD	4.1%
8.75% 2L Nts '30	$538					
Total Debt	**$2,631**	**6.9x**	**6.9x**	**6.8x**		
Cash on hand	($12)					
Net Debt	**$2,620**				**Liquidity:**	
					Cash on hand	$12
MV of Equity	NA				Credit Lines	$407
Enterprise Value	**NA**		**NA**		**Total Liquidity**	**$419**

Sources: Company reports, Deutsche Bank and Bloomberg Finance LP.

Iris Holding, Inc. (a/k/a Intertape Polymer Group) (ITPCN) – Packaging

BUY S+475 TL '28 and 10% SUNs '28

Business Description: Leading developer and manufacturer of a variety of packaging materials including tapes, shrink films, and protective, woven and non-woven products. Owned by Clearlake Capital since 2022.

Credit Highlights:

- **Revenue positive due mostly to pricing, volumes outperforming 'market'.** We see ITPCN continuing to grow top-line, although mostly as a function of pricing/inflation pass-throughs. E-commerce driving above-market growth.
- **Extension needed in the relatively near-term.** TL and bonds mature in 2028 likely requiring near-term A&E. Liquidity solid at $269mn.
- **Cost initiatives driving margins.** Gross margins continue to outperform expectations on high-ROIC capex investments and operational initiatives.

Outperformance Rationale/Catalysts

- **Relative value compelling, total return likely 10%+.** We see no performing credits in this yield context, on a risk-adjusted basis.
- **We see "friendly" A&E as most likely outcome.** Conventional refinancing may be challenged at current levels, but we think there are a recent precedent A&E 'trades' that provide a playbook towards a creditor-friendly outcome.
- **Resin concerns over-blown with ability to pass-through costs quickly, relief from Iran conflict resolution (over time).** We think concerns over Iran-conflict driven resin increases are overblown. ITPCN has historically been successful showing pricing power in past inflationary instances. Dilution to GMs is likely, but dollar-spread should remain stable. Limited contractual pass-throughs provide for timely realization.
- **FCF turning positive in 2027 and leverage falling to 6.5x (FYE27).** We estimate EBITDA of $277mn, +9% y/y, and see overall FCF of +$20mn. We calculate net leverage of 6.5x at FYE27.
- **We think structure is covered through SUNs.** We value the business at about 8x '27E, equal to an LTV of about 65% (1L) and 84% (SUNs).

Outstanding Issues

DB Rec	BBG Ticker	Ranking/ Seniority	Coupon	Amt O/S	Maturity	Price	YTW/YTM*	DM/Sprd	Mdy's/ S&P
BUY	ITPCN	1L	S+475	$1,448	6/28/2028	95.625	11.21%	718	B3/B-
BUY	ITPCN	Sr Unsec'd	10.000%	$400	12/15/2028	88.250	15.89%	1,179	Caa3/CCC

Capital Structure Summary:

Description	Amt O/S	Gross	Net	at Mkt	Other Info:	
$250mn ABL '31	$3				**Adj. EBITDA**	$263
1L TL (S+475bp, 50bpfl) '28	$1,448				(-) Capex	$56
Capital leases and other	$1				(-) Cash Interest	$164
Total 1L Debt	**$1,452**	**5.5x**	**5.4x**	**5.1x**	(-) Cash Taxes	$11
					"Simple" FCF	$32
10% Sr. Unsec'd Nts '28	$400				as % of TD	1.7%
Other	$7					
Total Debt	**$1,859**	**7.1x**	**6.9x**	**6.7x**		
Cash on hand	($46)					
Net Debt	**$1,813**				**Liquidity:**	
					Cash on hand	$46
MV of Equity (private)	NA				Credit Lines	$223
Enterprise Value	**NA**				**Total Liquidity**	**$269**

Sources: Company reports, Deutsche Bank and Bloomberg Finance LP.

Whirlpool Corporation (WHR) – Building Products

BUY 2L Notes '31 & '34 and 5Y CDS, SELL USD SUNs '29-'50

Business Description: Manufactures and markets a full line of major home appliances and related products.

Credit Highlights:

- **PF leverage now about ~8x (ex. foreign cash).** Significant cash sits in foreign subsidiaries (Brazil/Mexico) which investors should heavily discount.
- **WHR has cleared near-term runway with $2bn 2L deal.** $2bn ABL to be finalized, although terms not yet finalized.
- **Prospective FCF impacted by higher cash interest costs, earnings decline.** We estimate EBITDA of $823mn (20)% y/y and see risks skewed to the downside in 2026. PF annual cash interest increases by +$125mn (+49% versus old structure) due to the recent deal.

Outperformance Rationale/Catalysts

- **Outright short longer-dated SUNs, de-comp trades, and CDS are all attractive, offering total returns of 10%.** We think SUNs should trade at +600bp or more and CDS at 525-550bp. Attractive trades we suggest are 1) outright long the 7.5s '31 2) paired/de-comp trades involving the 7.875s and SUNs with maturities above 5y+, 3) long 5Y CDS. To illustrate a couple examples, we see the 7.5s '31 potentially trading below +260bp (102+). We think the 6.5s '33 could trade at 81 (or below).
- **Leverage to peak at 9x+, earnings impacted by ongoing macro weakness in housing and inflation.** We think leverage will peak at 9x in 3Q before finishing FYE26 at 8.4x. This is driven by EBITDA declines and FCF 'burn'.
- **LTV through 2Ls at 29%, SUNs at ~95%.** Based on our sum-of-the-parts analysis, we calculate a range of TEV at $6.9bn - $8.2bn ($7.5bn mid-point). We think spreads on the SUNs (absolute and relative to 2Ls) need to be wider (SUNs) to compensate investors appropriately.
- **Secured indentures provide for more secured debt, further diluting creditors.** We think risks are high that WHR will continue to use 1L/2L secured baskets to address relatively near-term maturities. Creditors with longer-duration maturities will see value eroded and need to price in this dynamic.
- **Contingent Brazilian liability remains a significant tail-risk**. The company maintains a US$775mn contingent liability (as of 1Q26) related to a basket of Brazilian export and tax-related issues. No view on timing but they remain a potential tail-risk.

Outstanding Issues

DB Rec	BBG Ticker	Ranking/ Seniority	Coupon	Amt O/S	Maturity	Price	YTW/YTM*	G-Spread	Mdy's/ S&P
BUY	WHR	2L	7.500%	$1,000	7/1/2031	101.625	7.02%	288	Ba1/BB+
BUY	WHR	2L	7.875%	$1,000	7/1/2034	101.125	7.60%	342	Ba1/BB+
SELL	WHR	Sr Unsec'd	4.750%	$700	2/26/2029	94.375	7.08%	299	B2/B+
SELL	WHR	Sr Unsec'd	6.125%	$600	6/15/2030	93.625	8.00%	386	B2/B+
SELL	WHR	Sr Unsec'd	2.400%	$300	5/15/2031	75.125	8.75%	458	B2/B+
SELL	WHR	Sr Unsec'd	4.700%	$300	5/14/2032	79.625	9.24%	500	B2/B+
SELL	WHR	Sr Unsec'd	5.500%	$300	3/1/2033	80.250	9.56%	527	B2/B+
SELL	WHR	Sr Unsec'd	6.500%	$600	6/15/2033	88.500	8.73%	443	B2/B+
SELL	WHR	Sr Unsec'd	5.750%	$300	3/1/2034	79.250	9.62%	528	B2/B+
SELL	WHR	Sr Unsec'd	5.150%	$250	3/1/2043	63.875	9.50%	471	B2/B+
SELL	WHR	Sr Unsec'd	4.500%	$500	6/1/2046	60.250	8.74%	378	B2/B+
SELL	WHR	Sr Unsec'd	4.600%	$500	5/15/2050	59.750	8.59%	364	B2/B+
BUY	WHRCORP SR 5Y		Spread:	441					

Capital Structure Summary:

Description	Amt O/S	Gross	Net	at Mkt	Other Info:	
$2bn ABL Facility '31	$211				**Adj. EBITDA**	$889
Subtotal - 1L	**$211**	**0.2x**	**0.1x**	**0.1x**	(-) Capex	$371
7.5% 2L Sr. Nts '31	$1,000				(-) Cash Interest	$428
7.875% 2L Sr. Nts '34	$1,000				(-) Cash Taxes	$214
Subtotal - 2L	**$2,211**	**2.5x**	**2.4x**	**2.4x**	**"Simple" FCF**	($124)
0.5% Sr. Nts '28 (€500mn)	$578				as % of TD	-1.7%
USD Notes Due '29-50	$4,350					
Other / Commercial Paper	$22					
Total Debt	**$7,161**	**8.1x**	**8.0x**	**6.9x**		
Cash on hand	($94)					
Net Debt	**$7,067**					
8.5% Convertible Pref '29	$575					
Net Debt + Pref	**$7,642**	**8.7x**	**8.6x**	**8.4x**	**Liquidity:**	
					Cash on hand	$94
MV of Equity	$2,713				Credit Lines	$1,981
Enterprise Value	**$10,356**		**11.7x**		**Total Liquidity**	**$2,075**

Sources: Company reports, Deutsche Bank and Bloomberg Finance LP.

Risks

Bristow (VTOL) downside risks

- VTOL's exposure to offshore energy services makes them sensitive to volatility in oil & gas prices and drilling activity
- A decline in the commodity could impact end-market/customer demand, with 15% exposure (within OES) to E&P activity
- Management may seek to accelerate shareholder-friendly activity including M&A, buybacks and dividends
- The collateral value of the helicopters could decline due to lower asset values
- The company has incumbency under its SAR contracts but failure to perform could impact customer relationships

Park River Holdings (PRIMBP) downside risks

- PRIMBP has significant leverage, especially if one excludes prospective synergies.
- The company competes in the highly competitive building products industry in addition to having cyclical end markets, including residential repair & remodeling and new residential construction.
- A significant amount of the company's COGS are sourced from outside the US, which could be impacted by changes to tariff policies.
- The company is 100% owned by private equity, and their economic interests could conflict with those of creditors, which could lead to aggressive shareholder-friendly activities.

Iris Holdings (ITPCN) downside risks

- Company is owned by private shareholders and their interests may differ from those of its creditors.
- Significant customer concentration to Amazon.
- Some of the businesses are sub-scale businesses (outside of water-activated tape) and compete with more diversified and larger competitors.
- Many end markets are susceptible to macroeconomic challenges.

Whirlpool Corporation (WHR) downside risks

- Low housing and consumer demand could persist longer than expected and hamper a recovery in earnings.
- With the new pro forma cash interest costs and a weak operating environment WHR could burn more FCF than expected and impede any sort of de-leveraging from current levels.
- The company could, and is likely to, issue more secured debt that will be priming or dilutive to existing 2L holders.

Whirlpool Corporation (WHR) upside risks

- WHR could be a consolidation candidate (as reported in the press in 2024, re: Bosch's interest), which could cause a tightening in spreads.
- WHR has significant exposure to consumer and housing end markets; a recovery could lead to better operating performance, earnings and credit metrics.
- The company could seek to fully eliminate its dividend, which would improve free cash flow

06.

Media/Business Services

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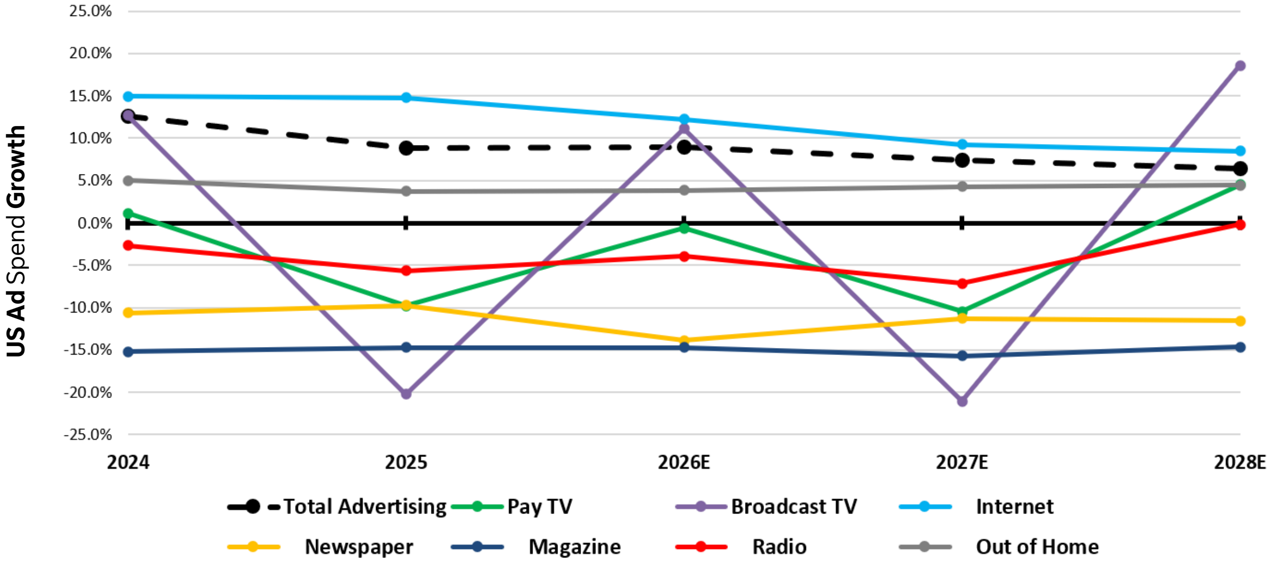
HY Media Mid-Year 2026 Outlook

Ad-supported Media continues to face secular pressures (shift to digital). Advertising had a reasonably healthy start to the year but recently has faced some macro headwinds. Deregulation/consolidation remains topical.

Advertising Themes:

- Ad spend started the year on a positive note for many of the media sub-sectors we focus on, but conflict overseas and the macro backdrop here in the US has modestly cooled growth rates into 2Q.
- For FY26, US advertising is projected to rise HSD% YoY, with growth fueled by digital and cyclicals (e.g. Olympics, Political, World Cup).
- Political Ramping: The current (midterm) election is projected to be the most expensive ever, even surpassing the 2024 presidential cycle. CTV is seeing the largest share gains, while Broadcast TV is holding steady.



Source: Magna, Bloomberg

Secular Headwinds Persist:

- Traditional media outlets continue to encounter…
  - Evolving linear viewership/listenership.
  - Loss of exclusive content.
  - Declining video subs and ad share erosion to Digital.

Reasons for Optimism:

- **Deregulation & Consolidation:** despite uncertainty due to the Nexstar+TEGNA process, we believe Media deregulation (FCC) & consolidation will play out over the near-term.
- **Re-bundling the Bundle:** several MVPDs offering smaller/genre-focused packages and/or including streaming services as part of bundles appear to be fuelling a stabilization of video sub declines (potentially benefitting retrans fee income for TV broadcasters).
- **Record political spend expected in 2026.** We do not believe the pending NRSC Supreme Court case will have a material impact on this year's tallies.
- **Maturity runways extended as companies tap the market**
- **Potential NFL TV Rights Extension:** While there are questions & concerns around cost, locking in the most popular content is strategically imperative for traditional media.

Gray Television (GTN) – TV Broadcaster
BUY 9.625% 2L Notes and Sr. Unsecured Notes

Business Description: Gray Television, Inc. (GTN) is a local TV broadcaster that owns/operates television stations in 120 markets reaching ~37% of total US television households. The portfolio includes 103 markets with the #1/#2 rated station.

Credit Highlights:

- **Top-Ranked Stations:** 88% of markets with #1 and/or #2 ranked local stations (important for political)
- **Core Advertising:** An encouraging start to the year (core +2% in 1Q) cooled off on macro factors (-MSD% in 2Q)
- **Distribution Visibility:** Gray renewed 39% of its MVPD footprint YTD and is done for the year. Despite the DISH blackout, mgmt. see retrans growing for the full year.
- **Extended Maturity Runway:** Gray has proactively pushed out front-end maturities, a theme we expect to continue.

Outperformance Rationale/Catalysts

- **Focus on Debt Reduction:** deleveraging a top priority with a repurchase authorization in place
- **Deregulation/Consolidation:** Acquired stations at deleveraging prices. We expect Gray to continue seeking accretive M&A ops.
- **Political Ads:** we expect GTN revs to be <u>*up*</u> vs 2024 cycle
- **NFL Rights Renewal:** we view potential extension as +

Return Profile

- We think the 2L Notes and '30/'31 SUN's could trade towards HSD% and LDD% yields, resp.

Outstanding Issues

DB Rec	BBG Ticker	Ranking/ Seniority	Coupon	Amt O/S	Maturity	Price	YTW/YTM*	STW	Mdy's/ S&P
HOLD	GTN	1L TL	6.735%	$739	12/1/2028	100.188	6.9%	292	Ba3 / B+
HOLD	GTN	1L Notes	10.500%	$1,125	7/15/2029	105.618	5.1%	139	Ba3 / B+
NR	GTN	1L Notes	7.250%	$775	8/15/2033	97.498	7.7%	337	Ba3 / B+
BUY	GTN	2L Notes	9.625%	$900	7/15/2032	95.298	10.7%	643	B3 / CCC
BUY	GTN	Senior Notes	4.750%	$790	10/15/2030	71.719	13.6%	944	Caa1 / CCC
BUY	GTN	Senior Notes	5.375%	$1,220	11/15/2031	69.628	13.5%	923	Caa1 / CCC

Source: Company reports, Deutsche Bank, and Bloomberg Finance LP

Capital Structure Summary:

Description	Amt O/S	Gross	Net	at Mkt	Other Info:	
RCF ($700mm) mat 12/1/28	$0				**Adj. LTM EBITDA**	$664
TL D (S+300; 0% flr) mat 12/1/28	$739				(-) Capex	$112
TL F (S+525; 0% flr) mat 6/4/29	$10				(-) Cash Interest	$473
10.5% Senior Secured Notes due '29	$1,125				(-) Cash Taxes	$35
7.25% 1L Notes due 8/15/33	$775				**"Simple" FCF**	**$44**
Total 1L Debt	**$2,649**	**4.0x**	**3.6x**	**3.6x**	as % of TD	0.8%
		2.8x	**2.6x**	**2.5x**		
9.625% 2L Notes due '32	$1,150				**L8Q EBITDA**	**$934**
Total 2nd Lien Debt	**$3,799**	**5.7x**	**5.3x**	**5.2x**		
		4.1x	**3.8x**	**3.7x**		
5.875% Senior Notes due '26	$0					
4.75% Senior Notes due '30	$790					
5.375% Senior Notes due '31	$1,219					
Total Debt	**$5,808**	**8.7x**	**8.4x**	**7.5x**		
Cash on hand	($259)	**6.2x**	**5.9x**	**5.3x**	**<u>Liquidity:</u>**	
Net Debt	**$5,549**				Cash on hand	$259
Series A Perpetual Pref Stock	$650				Credit Lines	$745
Market Cap	$370				**Total Liquidity**	**$1,004**
Enterprise Value	**$6,569**		**9.9x**			

Source: Company reports, Deutsche Bank, and Bloomberg Finance LP

iHeart Media (IHRT) – Radio Broadcasting

BUY 1L Secured Debt

Business Description: iHeartMedia, Inc (IHRT) is the largest radio operator in the U.S., with a portfolio that includes >860 live broadcast stations in >160 markets, a leading digital/podcast platform, Premiere Networks, and rep firm Katz Media.

Credit Highlights:

- **Scale Matters:** IHRT's stations + leading digital offerings provide a unique selling benefit to advertisers that allows for outperformance relative to peers
- **Diversification:** No ad vertical >5% of revenue
- **Tightened Docs:** Prior LME exercise (late 2024) tightened up docs/covenants up for lenders
- **Free Cash Flow:** IHRT continues to produce positive FCF

Outperformance Rationale/Catalysts

- **Cost Save Plan:** recently announced $50mm of incremental savings beginning in 2H26, in additional to previously announced $100mm of in-year reductions.
- **Targets Affirmed:** In tandem with 1Q earnings, mgmt. affirmed full year guidance calling for $800mm of EBITDA and $200mm free cash flow.
- **Digital Growth:** we expect continued double-digit digital growth, fueled by iHeart's leading podcast platform
- **Political:** with a revamped sales team & tech stack, iHeart should benefit from what is expected to be record ad spend. **Digitization of Broadcast Ad Inventory:** broadcast programmatic revenue trajectory exp. to mirror podcasting

Return Profile

- We think the 1L debt can trade towards ~HSD% yields

Outstanding Issues

DB Rec	BBG Ticker	Ranking/ Seniority	Coupon	Amt O/S	Maturity	Price	YTW/YTM*	STW	Mdy's/ S&P
BUY	IHRT	1L	S +577.5	$2,119	5/1/2029	95.750	11.5%	753	Caa1/CCC+
BUY	IHRT	1L	4.750%	$277	1/15/2028	96.241	7.4%	343	Caa1/CCC+
BUY	IHRT	1L	9.125%	$718	5/1/2029	97.766	10.1%	596	Caa1/CCC+
BUY	IHRT	1L	7.750%	$661	8/15/2030	93.456	9.7%	555	Caa1/CCC+
BUY	IHRT	1L	7.000%	$178	1/15/2031	89.395	10.0%	584	Caa1/CCC+
HOLD	IHRT	2L	10.875%	$675	5/1/2030	86.464	15.7%	1,153	Caa3/CCC-

Source: Company reports, Deutsche Bank, and Bloomberg Finance LP

Capital Structure Summary:

Description	Amt O/S	Gross	Net	at Mkt
ABL Facility due 2027 ($450mm)	$50			
4.75% 1L Notes due 2028	$277			
2029 TL (S+577.5) mat May 2029	$2,119			
9.125% Sr Sec'd Notes due May 2029	$718			
7.750% Sr Sec'd Notes due Aug 2030	$661			
7.000% Sr Sec'd Notes due Jan 2031	$178			
Other debt	$5			
1st Lien - Subtotal	**$4,008**	**5.4x**	**5.3x**	**5.0x**
10.875% 2L Notes due May 2030	$675			
2nd Lien - Subtotal	**$4,683**	**6.4x**	**6.2x**	**6.1x**
Holdout 1L TL due 2026	$5			
Holdout 1L Incr TL due 2026	$2			
3rd Priority - Subtotal	**$4,690**	**6.4x**	**6.2x**	**6.2x**
Holdout 6.375% 1L Notes due 2026	$45			
Holdout 5.250% 1L Notes due 2027	$7			
Sr Uns Notes due 2027	$72			
Total Debt	**$4,814**	**6.5x**	**6.4x**	**6.4x**
Cash on hand	($135)			
Net Debt	**$4,679**			
Market Cap	$622			
Enterprise Value	**$5,304**		**7.2x**	

Other Info:	
Adj. EBITDA	$668
(-) Capex	$84
(-) Cash Interest	$399
(-) Cash Taxes	$14
"Simple" FCF	**$171**
as % of TD	*3.6%*
Less: Cash Reorg	$61
Plus: Δ WC	$36
FCF	**$146**
as % of TD	*3.0%*
Liquidity:	
Cash on hand	$135
Credit Lines	$370
Total Liquidity	**$505**

Source: Company reports, Deutsche Bank, and Bloomberg Finance LP

Risks

Gray Television (GTN)

- Downside Risks
  - Economic downturn resulting in material pull back of advertising spend
  - Acceleration in MVPD subscriber losses, and continued shift of viewers from linear TV to streaming outlets
  - Slower than expected activity levels at Assembly Atlanta, limiting income generation
  - Inability to de-lever as planned, and/or further erosion in LTV cushion
- Upside Risks
  - Faster-than-expected advertising recovery
  - Near-term materially deleveraging M&A transaction

iHeart Media (IHRT)

- Downside Risks
  - Company failing to deliver on cost cutting initiatives
  - Broadcast radio listenership declines accelerating, resulting in further advertising pullback
  - Digital advertising growth slowing
- Upside Risks
  - Better-than-expected core advertising performance (macro pressures easing)
  - Reported M&A coming to fruition

07.

Rental Services, Auto Suppliers and Metals & Mining

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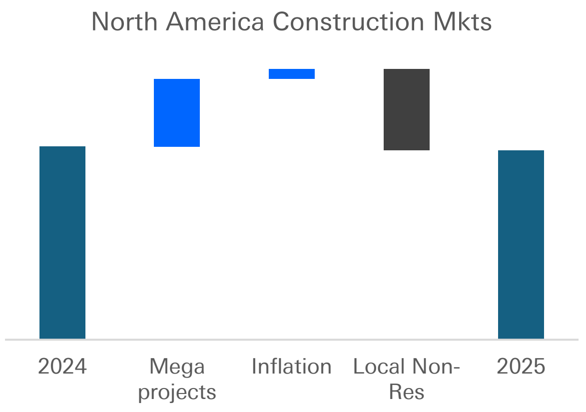
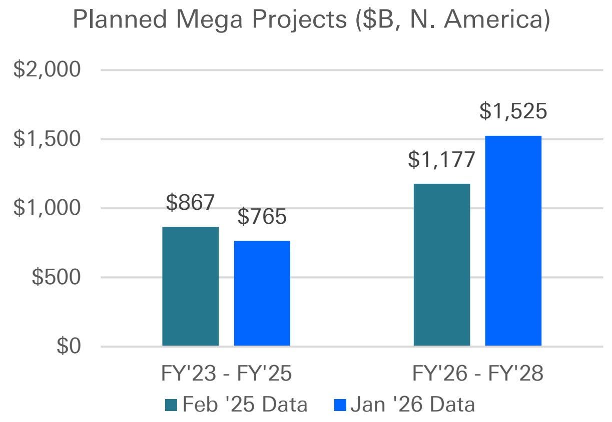
Equipment Rental Services – 2026 Mid-year Outlook

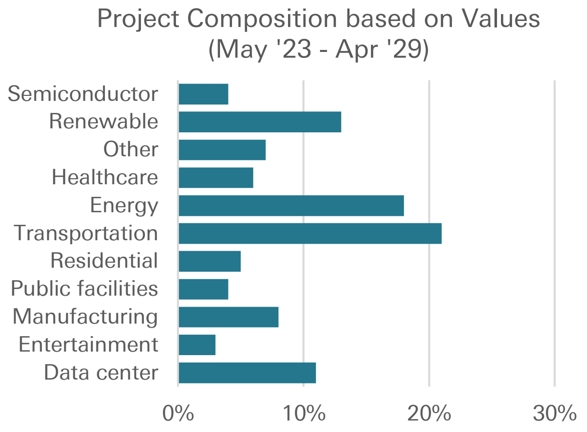
Constructive on equipment rental credits heading into 2H-2026

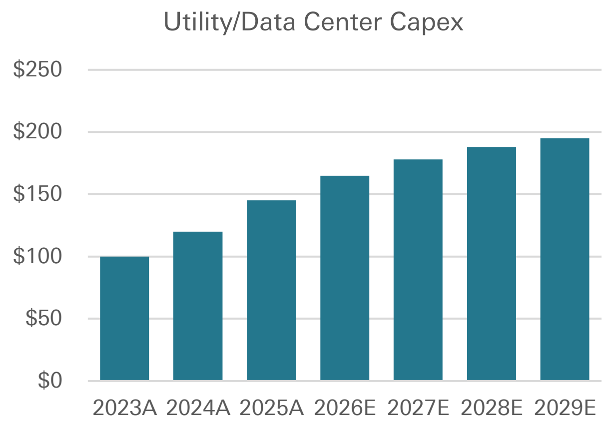
Sector Highlights:

- **Large projects are driving demand, offsetting sluggish non-res demand.** Mega projects continue to drive underlying growth in the sector and offset soft local markets. Manufacturing, infrastructure, power, utility and data center demand is effectively masking weak nonresidential construction trends.
- **The scale advantage is accelerating share gains for larger rental companies.** Companies with a national reach continue to take market share from smaller local and regional operators. Serving mega projects requires a large number of units, breadth of equipment and technology.
- **While mega projects may moderate in future years, the level of demand should remain elevated.** Large data centers can take 2-4 years to build, while semiconductor fabs consume ~3-5 years and transmission/utility projects frequently span multiple years (i.e.. a $125 billion project-start environment in 2026 supports utilization and fleet demand through 2028-2030). While mega-project starts may normalize from roughly $125 billion today to ~$105-$110 billion by 2030, they are still > 2x pre-2022 levels and supportive of above-cycle demand for URI, EQMSRM, HRI, SUNB and others.
- **The ARA raised its growth forecast in May and now expects U.S. construction/industrial equipment and tool rental revenue to grow 3.6% (vs. 2.8%).** Traditional nonresidential construction remains soft, meaning much of the current resilience is being driven by a relatively narrow set of very large projects rather than broad-based construction strength, coupled with continued secular penetration. This is expected to improve to 3.8% in '27 and 4.4% in '28.









Sources: Company Reports, Bloomberg Finance LP, United Rentals, SunBelt Rentals, Herc Rentals, IIR, Dodge, ARA.

Herc Rentals (HRI) – Rental Services
BUY the unsecured tranches

Business Description: Herc is one of the largest and most diversified equipment rental companies in North America.

Credit Highlights

- **Combination with HEES created third-largest rental operator.** Purchased HEES for 8.1x (ex-synergies) with PF net leverage of 3.6x at close. HRI guided to below ~3.0x within 2 years.
- **Size & Scale benefits.** Herc's scale increased dramatically with the H&E merger and strengthened in many end markets.
- **Secular tailwinds.** Beneficiary of secular shift to rent vs. own.
- **Mega Project activity continues to drive cycle…** Mega projects are driving underlying growth and offsetting soft local non-res construction markets.

Outperformance Rationale/Catalysts

- **EBITDA to benefit from synergies.** Should help offset any organic declines or weaker non-res construction demand.
- **HRI should gain operating leverage over fixed costs as it integrates H&E.** Now that HRI has achieved critical scale, it should generate stronger incremental margins over fixed costs in a market still expected to grow in 2H-2026.
- **Solid total return prospects.** Should HRI delever from ~4.1x currently to ~3.0x over the next 12-18 months, could see 100bp of spread tightening for total return of ~9-11%.

Outstanding Issues

DB Rec	BBG Ticker	Ranking/ Seniority	Coupon	Amt O/S	Maturity	Price	YTW/YTM*	STW	Mdy's/ S&P
BUY	HRI	1L	S+175	$748	6/2/2032	100.125	3.12%	172	Baa3 / BBB-
BUY	HRI	Sr. Unsec'd	6.625%	$800	6/15/2029	102.513	5.28%	109	Ba3 / BB-
BUY	HRI	Sr. Unsec'd	7.000%	$1,650	6/15/2030	103.830	5.59%	125	Ba3 / BB-
BUY	HRI	Sr. Unsec'd	5.750%	$600	3/15/2031	100.102	5.72%	139	Ba3 / BB-
BUY	HRI	Sr. Unsec'd	7.250%	$1,100	6/15/2033	104.603	5.94%	141	Ba3 / BB-
BUY	HRI	Sr. Unsec'd	6.000%	$600	3/15/2034	99.352	6.10%	149	Ba3 / BB-

*swapped where applicable

Sources: DB, Company Reports, Bloomberg Finance LP.

Capital Structure Summary

Description	Amt O/S	Gross	Net	at Mkt	Other info:	
ABL Credit Facility	$1,981				**LTM Adj. EBITDA**	**$1,924**
A/R Securitization	$475				**PF Adj. EBITDA**	**$2,324**
1L S+200bp TL-B '32	$748				**2026 EBITDA Est.**	**$2,042**
Other secured debt	$31				(-) Capex	$712
Total Secured Debt	**$3,235**	1.7x	1.7x	1.7x	(-) Cash Interest	$512
6.625% Sr. Nts '29	$800				(-) Cash Taxes	$48
7.000% Sr. Nts '30	$1,650				(-) Dividends	$98
5.750% Sr. Nts '31	$600				(-) Chg in W/C	$103
7.250% Sr. Nts '33	$1,100				**2026 Simple FCF**	**$569**
6.000% Sr. Nts '34	$600				*Simple FCF % TD*	*7.1%*
Total Debt	**$7,985**	4.2x	4.1x	4.1x		
Cash on hand	($43)				**Liquidity:**	
Net Debt	**$7,942**				Cash	$43
Market Cap	$5,124				Credit Lines	$1,906
Enterprise Value	**$13,066**		6.8x		**Total Liquidity**	**$1,949**

Sources: DB, Company Reports, Bloomberg Finance LP.

E al Services

Buy the 2L bonds

Business Description: One of the largest rental firms in North America, EquipmentShare is a nationwide construction technology and equipment solutions provider dedicated to transforming the construction industry through innovative tools, platforms and data-driven insights.

Credit Highlights

- **T3 Engagement Drives Recurring National Account business.** Existing customers ~80% of revenue at new stores.
- **Secular tailwinds.** Beneficiary of secular shift to rent vs. own.
- **OWN program allows EquipmentShare to scale faster than peers.** The OWN program effectively cuts capex in half. EQPT gets the benefit of scale from the higher capex and a stream of cash flows without investing any capex on OWN fleet.
- **> 80% of mega projects are in serviceable range of existing markets…** Mega projects are backfilling softer non-residential construction trends and EQPT is capitalizing.

Outperformance Rationale/Catalysts

- **Stable credit metrics, excess yield.** Company has said it expects net leverage in the high 2x's to low 3x's, ~7% yield.
- **Will tighten as investors grow more familiar.** The company operates differently than peers and it takes some getting used to; growing track record should allow spreads to normalize more in line with peers, driving outperformance.
- **Nice total return prospects.** We believe we could see OAS tighten ~50bp for ~3 points of upside potential and a total return of ~12%, especially if we see upward ratings pressure.

Outstanding Issues

DB Rec	BBG Ticker	Ranking/ Seniority	Coupon	Amt O/S	Maturity	Price	YTW/YTM	STW	Mdy's/ S&P
BUY	EQMSRM	2L	9.000%	$1,040	5/15/2028	103.343	5.19%	136	B3 / B
BUY	EQMSRM	2L	8.625%	$600	5/15/2032	104.857	6.76%	235	B3 / B
BUY	EQMSRM	2L	8.000%	$500	3/15/2033	103.596	6.74%	227	B3 / B

**swapped where applicable*

Sources: DB, Company Reports, Bloomberg Finance LP.

Capital Structure Summary

Description	Amt O/S	Gross	Net	at Mkt	Other Info:	
					LTM Adj. EBITDA	$1,043
$3.0bn ABL RCF '30	$999				'26 Adj. EBITDA	$1,078
Capital leases/other secured	$244				'26 Cash EBITDA	$878
Other 1L debt	$12				(-) Net Capex	$895
Total 1L Debt	**$1,255**	1.2x	0.9x	0.9x	(-) Cash Interest	$282
					(-) Cash Taxes	$2
9.000% 2L '28	$1,034				(-) Chg in W/C	$308
8.625% 2L '32	$600				(-) Acq/IPO/Div	($669)
8.000% 2L '33	$500				(-) Pay/add debt	$201
Total Debt	**$3,389**	3.2x	2.9x	2.9x	"Simple" FCF	($141)
					'26 as a % of TD	*NM*
Cash on hand	($329)				**Liquidity:**	
Net Debt	**$3,060**				Cash on hand	$329
Market Cap	$5,497				Credit Lines	$1,276
Enterprise Value	**$8,557**		8.2x		Total Liquidity	$1,605

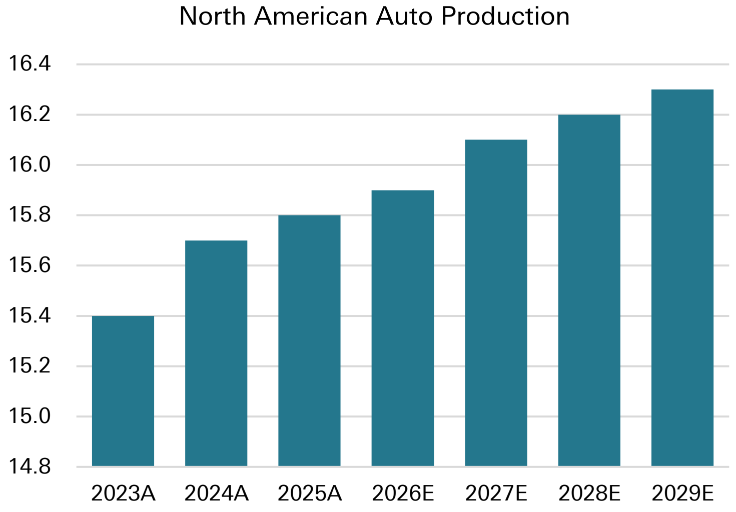
Sources: DB, Company Reports, Bloomberg Finance LP.

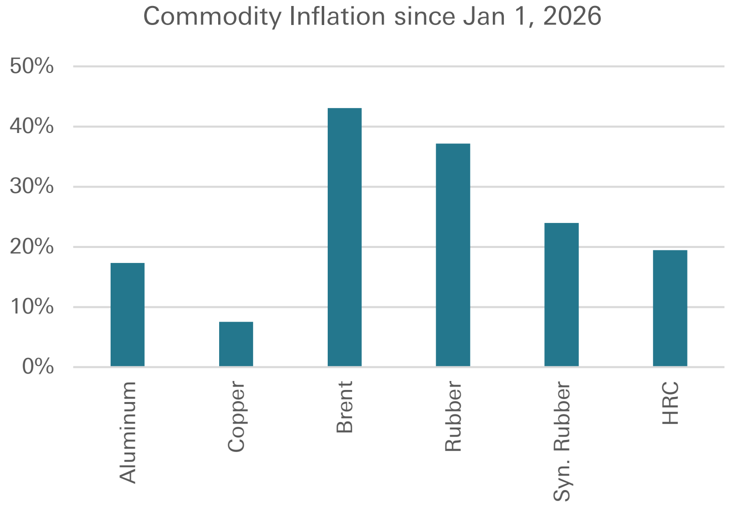
Aut

North American auto production stabilizes, but meaningful growth remains elusive.

Sector Highlights:

- **North American production stable but growth remains muted.** OEM inventories have largely normalized and production schedules have improved, though affordability and higher financing costs continue to constrain industry volumes. Most forecasts call for relatively flat NA production through 2027.
- **Tariffs and supply localization requirements are creating winners and losers.** Suppliers with smaller U.S. footprints and high levels of imported content exposure face structural margin pressure, while domestic manufacturers and service-oriented businesses have been relatively insulated.
- **Supplier trends are nuanced.** Exposure to SUVs, pickups and ICE-powertrain remains favorable, while suppliers tied to EV-only programs, European OEMs and the Chinese luxury market continue to face pressure. Aftermarket trends seem marginally better but are still oscillating at lower levels.
- **USMCA + Tariffs**. The largest risk to the sector remains uncertainty surrounding USMCA implementation/ rule changes and tariff pass-through timing.
- **Collision repair appears to be stabilizing and potentially improving from low levels.** Fundamentals remain strong with an aging car parc, higher repair complexity driven by ADAS, better repair versus total loss economics and share gains by multi-store operators including CRASHC, CALCOL and BYDCN.
- **The Middle East conflict has increased inflation risks.** Many auto suppliers were operating under the assumption that inflationary aluminum, oil, petrochemical and logistics costs would normalize to some degree into the summer and 2H-2026. Iran-related commodity inflation remains a growing headwind with the greatest exposure around tires, interiors and rubber-intensive suppliers. Customer recoveries often lag commodity movements by 1-2 quarters.





Sources: Company Reports, S&P, Bloomberg Finance LP, U.S. Bureau of Transportation.

Rivian Automotive (RIVN, RIVHOL) – Automotive Suppliers

BUY the HoldCo notes

Business Description: Rivian Automotive is an electric vehicle manufacturer and technology company that designs, builds and sells vehicles.

Credit Highlights

- **$13.6 billion of liquidity and future capital.** Rivian has ~$13.6 billion of liquidity and expected milestone payments (conditional) that should alleviate liquidity burden for the next two years as R2 ramps and Rivian drives towards profits.
- **Software is becoming a real business.** Rivian is creating an enterprise not solely dependent on continuously selling new vehicles; VW partnership validates Rivian's software.
- **Significant imbedded asset value.** Aside from a rapidly expanding auto business Rivian also has software, robots, a last-mile venture and autonomous IP in its portfolio.

Outperformance Rationale/Catalysts

- **R2 ramp.** If Rivian is able to manage the R2 ramp with good demand and without meaningful disruption, investors will find the "scalable EV-automaker" story far more credible.
- **Additional capital raises/partnerships.** Should Rivian raise additional equity capital in the coming year, this would further ease investor concerns around liquidity through the ramp of the R2, and Rivian appears willing to partner.
- **Continued reduction in cash burn.** Each quarter that Rivian narrows EBITDA losses/FCF burn extends its liquidity runway.
- **Bonds offer double-digit yields YoY (~14%).** If Rivian is able to ramp R2 and preserve liquidity, we see bond yields falling below 10% and 100bp of tightening for ~14% total return.

Outstanding Issues

DB Rec	BBG Ticker	Ranking/ Seniority	Coupon	Amt O/S	Maturity	Price	YTW/YTM	STW	Mdy's/ S&P
BUY	RIVHOL	1L HoldCo	10.000%	$1,250	1/15/2031	99.544	10.12%	584	N/A / N/A

Sources: DB, Company Reports, Bloomberg Finance LP.

Capital Structure Summary

Description	Amt O/S	Gross	Net	at Mkt	Other Info:	
$1.5bn ABL RCF '30	-				'29 Adj. EBITDA	$2,042
Other OpCo debt	-				'29 PF Net Debt	$3,286
Total Debt - OpCo	-	0.0x	-0.6x	-0.6x		
Cash on hand	($4,830)				'29 OCF	$2,128
Net Debt - OpCo	**($4,830)**				(-) Net Capex	$2,000
					Simple FCF	**$128**
10.0% Sr Sec'd Holdco Nts 1/15/31	$1,250				*Simple FCF/PF Debt*	*4%*
Total Debt - HoldCo	**$1,250**	0.6x	0.0x	0.0x		
Cash on hand	($4,830)					
Net Debt - HoldCo	**($3,580)**					
4.625% Convertible Nts 3/15/29	$1,500				**Liquidity**	
3.625% Convertible Nts 10/15/30	$1,725				Cash on hand	$4,830
Total Debt - TopCo	**$4,475**	2.2x	1.6x	1.6x	Credit Lines	$564
Cash on hand	($4,830)				Future VW Capital	$2,460
Net Debt - TopCo	**($355)**				Future Uber Capital	$950
Market Cap	$20,085				Future DOE Loan *	$4,500
Enterprise Value	**$19,730**		11.4x		**Total Liquidity**	**$13,304**

** Allocated to build new Georgia plant*

Sources: DB, Company Reports, Bloomberg Finance LP.

Risks

Herc Rentals (HRI)

- Downside risks include cyclical and competitive end markets, H&E integration, synergy realization, non-residential construction demand, local market demand, interest rates, mega project activity, inflation, technological innovation, cost overruns, employee losses and delays in federal funding reaching end projects.

EquipmentShare (EQPT, EQMSRM)

- Downside risks include utilization, access to capital (including the OWN program), mega project activity, non-residential construction demand, inflation, shareholder disputes, bottlenecks or delays in funding for mega projects, equity-friendly disbursements, tech disruptions, key man risk and delays in federal funding reaching end projects.

Rivian (RIVN, RIVHOL)

- Downside risks include R2 launch execution, demand, margins, achieving funding milestones or other capital contingencies, competition, strategic partner risk, structural subordination, value migration, policy, technology, recovery, liquidity preservation, supply chain security and capital markets and/or rates risk.

08.

Datasite Issuers

Cox Media (CMGMCO) – TV Broadcasting – *Data site*
Not Rated

Business Description: Cox Media Group is a local TV and radio broadcaster operating 13 TV stations in 9 markets, reaching ~11% of US TV households, as well as 44 radio stations across 9 markets.

Company Considerations

- **Apollo is majority owner.** The firm purchased the company back in February 2019.
- **Big Four affiliations in major markets.** Most of CMG's stations are affiliated with Big Four networks – CBS (3), NBC (1), ABC (3) and FOX (3) and located in major markets including Atlanta (DMA #6), Boston (#9), Seattle (#12), Orlando (#21), and Charlotte (#21).
- **Highly rated stations.** Over 75% of CMG TV Stations are rated #1 or #2 in their markets. Over 80% of CMG radio stations are Top 10 ranked in their local markets.
- **Bloomberg reports Apollo exploring a sale.** In March 2025 Bloomberg reported that Apollo was exploring a sale of Cox's TV & Radio stations, with a possible valuation of $4 billion.

Outstanding Issues

BBG Ticker	Ranking/ Seniority	Coupon	Amt O/S	Maturity	Price	Yield	Spread	Tranche Ratings
CMGMCO	1L TL	S+350	$1.82bn	6/18/29	90.000	11.2%	737	B3/B
CMGMCO	2L Notes	8.875%	$574mm	6/18/29	74.442	20.8%	1,668	Caa3/CCC

Source: Bloomberg Finance LP

Global Auto Holdings (GLOBAU) (B3,B+) – Automotive Suppliers – *Datasite*

Not Rated

Business Description: One of the world's largest automotive retail groups operating dealerships and distribution businesses across North America, U.K., Ireland and Scandinavia.

Company Considerations

- **Huge revenue base.** Founded in 2014, Global Auto Holdings (GAHL) generates approx. $8 billion of annual revenue across its automotive retail and distribution businesses, which employ > 7,500 associates globally.
- **Combination of major platforms.** Global Auto Holdings operates through major regional platforms including Alpha Auto Group (North America), Lookers (U.K./Ireland) and Wismo Group (Scandinavia).
- **Operates 173 franchised dealerships across 8 countries.** GAHL works with more than 50 OEM brands and sells ~250,000 vehicles annually through the value chain.

Outstanding Issues

DB Rec	BBG Ticker	Ranking/ Seniority	Coupon	Amt O/S	Maturity	Price	YTW/YTM	STW	Mdy's/ S&P
NR	GLOBAU	Sr. Unsec'd	8.375%	$525	1/15/2029	99.455	8.61%	441	B3 / B+
NR	GLOBAU	Sr. Unsec'd	11.500%	$540	8/15/2029	105.274	9.02%	487	B3 / B+
NR	GLOBAU	Sr. Unsec'd	8.750%	$525	1/15/2032	95.962	9.70%	540	B3 / B+

Source: Bloomberg Finance LP.

Sources: The above information is sourced from the Issuer/Company website, along with Bloomberg and other publicly available sources. While DB does not cover this company's securities, we include these factual highlights given the name is a key industry player and is topical to our clients.

Lifepoint Health, Inc. (RGCARE) – Healthcare – *Datasite*

Not Rated

Business Description: Lifepoint Health is largely a hospital, behavioral, and rehab operator.

Company Considerations

- **Q226, Medicaid, Other Uncertainty.** We believe uncertainty with Q226 results, commercial payor pressure, and expected Medicaid cuts have negatively impacted certain bonds.
- **Hospitals are a Protected Class**. In our opinion, the importance of healthcare delivery and jobs render hospitals are a protected class.
- **Bonds Yield Roughly 9.31%.** Based on a price of 101.72, the 10% unsecured bonds of ’32 trade at a YTW of 9.31%. This compares to a HY Healthcare index of 6.75%.

Outstanding Issues

BBG Ticker	Ranking/ Seniority	Coupon	Amt O/S	Maturity	Price	YTW/YTM*	STW	Mdy's/ S&P
RGCARE	1L	9.875%	$800	8/15/2030	105.671	4.89%	121	B2 / B
RGCARE	Sr. Unsec'd	5.375%	$500	1/15/2029	95.978	7.11%	302	Caa1 / CCC+
RGCARE	Sr. Unsec'd	10.000%	$800	6/1/2032	101.728	9.31%	489	Caa1 / CCC+
RGCARE	1L	7.000%	$1,500	5/1/2034	97.087	7.49%	300	B2 / B

Sources: Bloomberg Finance LP.

R1 RCM, Inc. (RCM) – Healthcare – *Debt domain*

Not Rated

Business Description: R1 RCM Inc. is a leading provider of technology-driven solutions and works largely in the revenue cycle management market with customers including health systems, hospitals, and physician groups.

Company Considerations

- **Attractive Market**. It's our understanding that RCM operates in an attractive and growing market.
- **Cyber Attacks.** RCM experienced some negative impacts from the Change Health and Ascension cyberattacks in 2024.
- **AI**. AI could be an opportunity or a risk for RCM.
- **Bonds Yield Roughly 7.24%.** Based on a price of 98.37, the 6 7/8 bonds of '31 trade at a YTW of 7.24%. This compares to a HY Healthcare index of 6.75%.

Outstanding Issues

DB Rec	BBG Ticker	Ranking/ Seniority	Coupon	Amt O/S	Maturity	Price	YTW/YTM*	STW	Mdy's/ S&P
NA	RCM	Secured	6.875%	$1,300	11/15/2031	98.370	7.24%	287	B3/B-

Sources: Bloomberg Finance LP.

Shearer's Foods (SHEARE) –Food & Beverage - *Debtdomain*
Not Rated

Business Description: Shearer's Foods, LLC manufactures and distributes snack food products. The Company offers products within two segments, Salty and Cookies & Crackers. It produces private label and contract-manufactured tortilla, kettle and potato chips, cheese curls, corn puffs, pretzels, popcorn, cookies and wafers.

Company Considerations

- **Leading producer of private label snacks:** Strong relationship with its largest customers and a broad national manufacturing footprint
- **Balance between co-manufacturing and private label:** Allows them to benefit from most economic and pricing environments
- **Multi-pack opportunity:** Seeking to capture share in the underpenetrated private label multi-pack
- **"Better-for-you" snacking provides opportunity:** see this as a growth opportunity (protein chips, non-seed oil etc.) as there is increasing interest from customers

Outstanding Issues

DB Rec	BBG Ticker	Ranking/ Seniority	Coupon	Amt O/S	Maturity	Price	YTW/YTM*	DM/ Sprd	Mdy's/ S&P
NA	SHEARE	1L	S+275	$1,199	2/12/2031	98.250	6.83%	320	B2/B
NA	SHEARE	1L	7.875%	$500	3/1/2031	100.750	7.56%	320	B2/B
NA	SHEARE	Sr. Unsec'd	9.625%	$450	9/15/2032	97.500	10.17%	577	Caa2/CCC+

Sources: Company reports and Bloomberg Finance LP.

U.S. Acute Care Solutions, Inc. (USACUT) – Healthcare – *Intralinks*

Not Rated

Business Description: USACUT is a physician-owned provider of acute care medicine including ED, hospital, and other.

Company Considerations

- **Doctor Ownership.** USACUT is a physician owned model, and we believe this is broadly beneficial to patients and customers among others.
- **Staffing Model Beneficial for Hospitals.** We believe the ED staffing model is beneficial for many hospitals.
- **Bonds Yield Roughly 11.00%.** At a price of 96.93, bonds trade at a YTW of 11.00%. This compares to a HY Healthcare index of 6.75%.

Outstanding Issues

BBG Ticker	Ranking/ Seniority	Coupon	Amt O/S	Maturity	Price	YTW/YTM*	STW	Mdy's/ S&P
USACUT	1L	9.750%	$1,000	5/15/2029	96.930	11.00%	691	B3 / B-

Sources: Bloomberg Finance LP.

Appendix 1
Important Disclosures
*Other information available upon request

*Prices are current as of the end of the previous trading session unless otherwise indicated and are sourced from local exchanges via Reuters, Bloomberg and other vendors . Other information is sourced from Deutsche Bank, subject companies, and other sources. For further information regarding disclosures relevant to Deutsche Bank Research, please visit our global disclosure look-up page on our website at https://research.db.com/Research/Disclosures/FICCDisclosures. Aside from within this report, important risk and conflict disclosures can also be found at https://research.db.com/Research/Disclosures/Disclaimer. Investors are strongly encouraged to review this information before investing.

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